

Contentious Chamber

Decision on the merits 146/2024 of November 28, 2024

File number: DOS-2019-04308

Subject: Investigation concerning two treatments implemented by Freedelity

The Contentious Chamber of the Data Protection Authority, composed of Mr. Hielke Hijmans, president, and Messrs. Yves Pouillet and Romain Robert, members;

Considering Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation), hereinafter referred to as "GDPR";

Considering the Law of December 3, 2017, establishing the Data Protection Authority¹ (hereinafter "LCA");

Considering the internal regulations as approved by the House of Representatives on December 20, 2018, and published in the Belgian Official Gazette on January 15, 2019²;

Considering the documents in the file;

Has made the following decision regarding:

The defendant: Freedelity, whose registered office is located at Rue Altiero Spinelli 7, 1401 Nivelles, registered under enterprise number 0818.399.886, represented by Maîtres Christian Defauw, Alexandre Cassart, Etienne Wéry, Victoria Ruelle, and Fanny Cotton, hereinafter referred to as "the defendant"

1 The DPA reminds that the revised organic law came into force on 01/06/2024. It only applies to complaints, mediation files, requests, inspections, and procedures before the Contentious Chamber initiated from that date. Files initiated before 01/06/2024, such as the present file, are subject to the provisions of the previous version of the LCA accessible here:

<https://www.autoriteprotectiondonnees.be/publications/loi-organique-de-l-apd.pdf>

2 The new internal regulations of the DPA, resulting from the amendments made by the Law of December 25, 2023, amending the Law of December 3, 2017, establishing the Data Protection Authority (LCA), came into force on 01/06/2024. It only applies to complaints, mediation files, requests, inspections, and procedures before the Contentious Chamber initiated from that date. Files initiated before 01/06/2024 are subject to the provisions of the internal regulations as they existed before that date.

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I. Facts and procedure

1.

On July 8, 2019, the newspaper L'Echo published an article titled "Freedelity proposes to pool customer data management"³. On August 2, 2019, a member of the Management Committee proposed to the president of the Management Committee to examine this service.

2.

This discussion was placed on the agenda of the Management Committee meeting on August 20, 2019. During this meeting, the Management Committee decided to send a letter to the defendant to inquire about the operation of the service described in the L'Echo article.

3.

On August 30, 2019, the director of the General Secretariat sent a letter containing a series of about 10 questions to the defendant. On October 9, 2019, the defendant transmitted its responses to the General Secretariat.

4.

Based on these responses, the General Secretariat drafted a letter to the Management Committee titled "DIRCO Report – Preliminary Information Letter - Freedelity". On December 6, 2019, based on this letter, the Management Committee of the Data Protection Authority (hereinafter "DPA") decided to request an investigation by the Inspection Service, pursuant to Article 63.1° of the LCA.

5.

On April 20, 2022, the investigation of the Inspection Service was concluded, the report was attached to the file, and it was transmitted by the Inspector General to the president of the Contentious Chamber (art. 91, § 1 and § 2 of the LCA).

The Inspection Service found, in broad terms, that:

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Finding 1: Freedelity was unable to demonstrate the collection of valid consent (in accordance with Article 4.11 of the GDPR) in violation of Articles 5.1.a., 6.1.a., 7, and 5.2. of the GDPR.

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Finding 2: Freedelity was unable to demonstrate that appropriate measures had been implemented to facilitate the withdrawal of consent in violation of Article 7.3. of the GDPR read in light of the accountability principle (Articles 5.2., 24, and 25 of the GDPR).

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Finding 3: Freedelity was unable to demonstrate that it had implemented appropriate measures to ensure the validity and collection of consent (in the sense of Article 4.11. of the GDPR) for the processing for which Freedelity acts as the data controller in violation of Articles 5.2., 24, and 25 of the GDPR.

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Finding 4: Freedelity violated the data minimization principle set out in Article 5.1.c. of the GDPR and Article 25.1 of the GDPR.

3 This article is available at the following link: <https://www.lecho.be/entreprises/technologie/freedelity-propose-de-mutualiser-la-gestion-des-donnees-clients/10143718.html>

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Finding 5: Freedelity failed to justify the data retention periods determined in violation of Articles 5.1.e, 5.2, 24, and 25.1 of the GDPR.

6.

On July 6, 2022, the Contentious Chamber decides, pursuant to Article 95, § 1, 1° and Article 98 of the LCA, that the case can be examined on the merits.

7.

On the same day, the defendant is informed by registered mail of the provisions as set out in Articles 95§2 and 98 of the LCA. She is also informed, pursuant to Article 99 of the LCA, of the deadlines for submitting her conclusions.

8.

The deadline for receiving the defendant's response conclusions was set for August 31, 2022.

9.

On July 7, 2022, the defendant requests a copy of the file (Article 95, §2, 3° LCA), which is transmitted to her on July 12, 2022.

10.

On July 18, 2022, the defendant agrees to receive all communications related to the case electronically and expresses her intention to exercise the right to be heard, in accordance with Article 98 of the LCA. She also requests an extension of the deadline for submitting conclusions to October 30, 2022.

11.

On August 2, 2022, the Contentious Chamber agrees to extend the deadline to September 21, 2022.

12.

On September 15, 2022, the defendant requests to consult the paper version of the administrative file. She also requests an extension of the deadline for submitting conclusions to October 21, 2022.

13.

On September 21, 2022, the Contentious Chamber agrees to extend the deadline for submitting conclusions by two weeks, until October 5, 2022. It reminds the defendant that she has already, at her request, obtained a complete digital copy of the administrative file on July 12, 2022. However, it adds

that she can consult the file by contacting the registry.

14.

On September 28, 2022, the consultation of the paper administrative file takes place at the premises of the APD.

15.

On October 5, 2022, the Contentious Chamber receives the conclusions from the defendant. When submitting her conclusions, the defendant also requests, before the ruling, documents that she deems necessary for the exercise of her defense rights. She also requests a new deadline for conclusions after receiving these documents.

16.

On May 2, 2023, the Contentious Chamber transmits numerous documents to the defendant and also allows her to conclude on these elements until May 17, 2023.

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17.

On May 3, 2023, the defendant requests to postpone the deadline for submitting conclusions to June

15.

18.

On May 8, 2023, the Contentious Chamber agrees to extend the deadline by one week, until May 24, 2023.

19.

On May 9, 2023, the parties are informed that the hearing will take place on June 14, 2023.

20. On May 23, 2023, the defendant informs the Contentious Chamber that she wishes to receive the complete copy of the minutes of the Management Committee meeting of December 6, 2019. She requests a copy of the decision to lift the mandate of the president of the APD in 2022, and, in the event that the APD does not have it, she demands that it take steps to obtain it. She considers that the deadlines for submitting conclusions granted to her are unreasonable, that the hearing is premature, and that the file is not in order.

21.

On May 24, 2023, the Contentious Chamber receives additional conclusions from the defendant.

22.

On June 2, 2023, the Contentious Chamber responds to the defendant, indicating that the excerpts from the minutes of the Management Committee meeting contain all the information related to the present case. It adds that it has provided all the documents in its possession and that it is up to the defendant to present all documents she deems useful in support of her conclusions. The Contentious Chamber concludes that the file is in order and that the hearing can take place.

23. On June 12, 2023, the defendant informs the Contentious Chamber that she has submitted a request to the Commission for Access to Administrative Documents (hereinafter, "CADA") against the Contentious Chamber. She requests a new postponement of the hearing.

24. On June 12, 2023, the Contentious Chamber reiterates the position expressed on June 2, 2023. It adds that the APD currently does not consider itself subject to the law of April 11, 1994, concerning the publicity of the administration.

25. On June 12, 2023, the defendant informs the Contentious Chamber that one of her advisors is unavailable due to illness and that she is therefore unable to plead the case on the scheduled hearing date.

26. On June 13, 2023, the Contentious Chamber informs the defendant that the hearing has been moved to June 29, 2023.

27.

On June 15, 2023, the defendant sends a request to the Contentious Chamber for the recusal of its president based on Article 828, 1° of the Judicial Code.

4 Article 828 of the Judicial Code: "Any judge may be recused for the following reasons: 1° if there is legitimate suspicion (...)"

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28. On June 19, 2023, the president of the Contentious Chamber rejected the request for recusal, recalling in particular that the Judicial Code is not applicable to him, and that the defendant's arguments regarding the lack of impartiality of the president of the Contentious Chamber are unfounded.
29. On June 20, 2023, the defendant filed a request for recusal with the Market Court, which informed the Contentious Chamber on June 22, 2023.
30. On June 26, 2023, the registry of the Contentious Chamber informed the defendant that the hearing scheduled for June 29, 2023, was postponed to a date to be determined.
31. On June 27, 2023, the defendant sent an email to the president of the Data Protection Authority. In this email, the defendant reminded her of various requests regarding documents and indicated that she believes this issue should be addressed by the president of the DPA or the DPA Management Committee and not by the president of the Contentious Chamber.
32. On July 4, 2023, the DPA received opinion No. 2023-95 from the CADA. The latter considers itself competent to provide an opinion on a request for access to a document made regarding the DPA. It also considers that the defendant's request is admissible.
33. In its opinion, the CADA indicates that the DPA is not required to guarantee access to a document it does not possess, but it must designate, if known, the authority that holds the requested document. Following this opinion, the defendant again requests access to documents she deems necessary for the exercise of the rights of defense.
34. On July 11, 2023, the Contentious Chamber responded to the defendant by indicating that it was forwarding her request to the DPA Management Committee.
35. On July 18, 2023, the Management Committee, through the president of the DPA, responded to the defendant. She first indicated that the position of the CADA represents a reversal from its previous position. She added that she does not take a position at this stage on the applicability of the law of April 11, 1994, to the DPA, but she sees no objection to providing, in this case, the agenda and minutes of the Management Committee meeting of December 6, 2019, to the defendant, with the removal of information concerning other data controllers.
36. On October 31, 2023, the Market Court issued ruling 2023/7566 regarding the recusal request made by the defendant against the president of the Contentious Chamber. In this ruling, the Market Court declared itself without jurisdiction and competence to hear the recusal request made by the defendant against the president of the Contentious Chamber.

5 Ruling of the Market Court of October 31, 2023, No. 2023/AR/821 (ruling not recordable)

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37. On November 28, 2023, the defendant was informed that the hearing would take place on January 15, 2024.
38. On December 22, 2023, the defendant filed a summary application with the Summary Chamber of the Brussels Court of First Instance requesting the production of all documents related to Freedelity under penalty of a fine.
39. The Summary Chamber issued a first order on February 12, 2024, in which it declared Freedelity's request unfounded regarding the production of the decision to lift the mandate of the former president of the DPA and the documents that are not related to the Management Committee's decision of December 6, 2019. It ordered the DPA to produce several of the documents requested by the defendant.
40. On March 20, 2024, the Summary Chamber issued an order in which it deemed Freedelity's request partially founded and ordered the DPA to produce several additional documents, including internal emails between DPA staff that were included in the inventory of documents.
41. On March 22, 2024, the DPA provided the additional documents to Freedelity. In accordance with the second order of the Summary Chamber, it granted Freedelity a period of 15 days to conclude on all documents provided by the DPA and invited it to the hearing that would take place on April 11.
42. On April 9, Freedelity submitted its additional conclusions.
43. On April 11, 2024, the defendant was heard by the Contentious Chamber.
44. On April 29, 2024, the minutes of the hearing were submitted to the defendant.

45. On May 3, 2024, the defendant communicated to the Contentious Chamber that she did not wish to comment on the minutes of the hearing and that she would adhere to her procedural writings and pleadings.

II. Reasoning

II.1. Context

46. Since its creation in 2010, Freedelity has offered technology aimed at simplifying the collection and updating of personal data, notably using data contained in the chip of the Belgian electronic identity card (hereinafter, "eID").

47. Freedelity's services allow for the centralization of commercial benefits offered by various brands to consumers, as well as the loyalty cards or proof of purchase of these consumers. These services are offered both (i) by Freedelity to its clients of the "brands" type (under a B2B model, within the framework of the CustoCentrix service), and (ii) by Freedelity to consumers (under a B2C model).

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48. If the article in L'Echo mentioned above focused on the presentation of CustoCentrix, from the inspection phase, the investigation concentrated on the "Freedelity file," maintained by Freedelity as the data controller, this file being largely fed by data collected by the brands.

49. As explained by Freedelity in its responses to the inspection service (document 5 of the file), "the Freedelity file indeed allows for the personal identification of each consumer, access to the Myfreedelity portal, as well as the management of the process of mutualizing the updating of consumer data among Freedelity's clients."

50. The Inspection Service analyzed only the compliance of the processing related to the Freedelity file, and consequently (1) the collection of personal identification and contact data, (2) the mutualization of this personal data, and (3) the transfer of identity data contained in the Freedelity file to third parties such as Z1 and Z2.

51. The Contentious Chamber will successively analyze the legality of the processing (1) and (2) mentioned above in section II.5. However, it notes that the investigation report of the Inspection Service does not contain sufficient elements to allow for an in-depth examination of processing (3), particularly regarding possible legal bases and the roles of the actors involved. Consequently, this decision will not address this processing (3).

II.2. Preliminary question: Recusal of the president of the Contentious Chamber

52. As a preliminary matter, the defendant requests the president of the Contentious Chamber to recuse himself due to the legitimate doubt that would exist regarding his impartiality. For the sake of readability and clarity of this decision, the response of the Contentious Chamber to this argument will be examined later in the decision, in the section dedicated to the respect of the rights of the defense, and more specifically to the impartiality of the members of the Management Committee, including the president of the Contentious Chamber (section II.4.1.1).

II.3. Procedure: Stages of the procedure

53. The Contentious Chamber observes that the defendant has raised a significant number of arguments relating to all stages of the procedure. However, without prejudging its competence and the extent of its duty to provide reasoning regarding the arguments raised—questions that have not been resolved by the Market Court—the Contentious Chamber wishes to respond to them below for a better understanding of the decision.

6 The role of Freedelity as the data controller of this file is not contested.

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II.3.1. The questioning of the director of the General Secretariat (at the time, also president of the Management Committee) by the director of the Knowledge Center

54. The defendant believes that the director of the Knowledge Center at the time had no authority to question the director of the General Secretariat, whether in his capacity as a member of the Management Committee or as the director of the Knowledge Center.

55. For all useful purposes, the Contentious Chamber recalls that the Management Committee is composed of the five directors of the APD (Article 12 of the LCA). As such, the director of the

Knowledge Center was, alongside this role, a member of the Management Committee at the time of the questioning of the director of the General Secretariat. Furthermore, the director of the General Secretariat at the time was also the president of the Data Protection Authority, and thus, in this capacity, chaired the Management Committee in accordance with Article 13§1 of the LCA.

56. Article 10§1 of the LCA states that "The Management Committee monitors developments in technological, commercial, and other areas that impact the protection of personal data" (emphasis added).

57. It appears from the documents in the file that the director of the Knowledge Center (a member of the Management Committee) proposed to the president of the Management Committee to examine a service from Freedelity, the operation of which was described as innovative in an article from L'Echo published on July 8, 2019, titled "Freedelity proposes to mutualize customer data management."

58. The APD, through its predecessor the Commission for the Protection of Privacy (hereinafter "CPVP"), was aware of the existence of the service proposed by Freedelity, consisting of an innovative technology allowing access from one's identity card to economic benefits (e.g., points accumulated on a loyalty card). However, the article from L'Echo presented an evolution of the technological service in question: "Today, the company from Nivelles is taking it a step further. With Custocentrix, it is launching a cloud platform that allows retailers to better organize and keep up to date all personal and behavioral data of their customers."

59. It should be noted that an evolution of a technological service offered by a private company requiring the use of the Belgian identity card, which contains a highly sensitive and regulated unique identifier (the national register number), has an impact on the protection of personal data in Belgium. If the members of the Management Committee of the APD were not able to understand the extent of Decision on the merits 146/2024 – 9/67

the impact of this development based on a simple newspaper article, nor whether the handling of the national registration number was involved in this development, they fully assumed their responsibility by deciding to analyze said development based on Article 10 of the LCA. Any contrary interpretation of this article would limit this monitoring power specifically granted to the members of the Steering Committee and would render it meaningless. The director of the Knowledge Center was therefore justified in formally requesting the president of the Steering Committee to include this discussion on the agenda of the Steering Committee meeting on August 20, 2019.

60. Under the conditions mentioned in the two preceding paragraphs, any member of the Steering Committee is authorized to formally request the president of the Steering Committee to include a discussion regarding such monitoring on the agenda of the Steering Committee meetings. For the Contentious Chamber, this request falls within the framework of the obligation to monitor developments in technological fields, which is incumbent upon the APD and therefore, primarily, upon the members of the Steering Committee. Such monitoring requires the possibility of an internal request among members of the Steering Committee and is thus perfectly justified.

61. A member of the Steering Committee wished to place on the agenda a discussion concerning the new service proposed by Freedelity, in order to allow the Steering Committee to monitor this development in the technological field. This legitimate request occurs within the framework of Article 10§1 of the LCA and is therefore in accordance with the law.

II.3.2. Sending a letter of request for information to the defendant by the president of the General Secretariat (at the time, also president of the Steering Committee)

62. First, the defendant believes that following the decision of the Steering Committee to monitor the Freedelity service, the General Secretariat exceeded its authority by sending a letter of request for information to the defendant (document 2 of the file). It is based in particular on a report from the Court of Auditors which, according to it, criticizes the fact that the General Secretariat assumes a "filtering role for files." Secondly, the defendant argues that sending this letter of request for information in Dutch to the defendant is contrary to the law on the use of languages in administrative matters and that, by application of Article 58 of the law of July 18, 1966, the nullity of this act must be recognized and, by extension, that of the entire procedure.

10 It should be noted that the members of the Steering Committee make particularly moderate use of

this monitoring power granted by Article 10 of the LCA. This power is included in the new version of the LCA, as applicable to cases initiated after 01/06/2024.

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63. Firstly, the Contentious Chamber emphasizes that during the meeting of the Steering Committee, its members decided that a letter could be sent based on Article 20§1,1° of the LCA, after consulting the files that had previously been opened regarding the defendant with the First Line Service ("SPL"). The first letter was drafted by the General Secretariat and sent to the defendant on August 30, 2019.

64. The president of the APD (and thus of the Steering Committee) was assisted in the execution of his tasks by the General Secretariat (Article 13§3 of the LCA). Furthermore, the General Secretariat has its own mission of "monitoring" technological developments that impact the protection of personal data (Article 20§1,1° of the LCA). This mission presents a certain redundancy with that of the Steering Committee, which consists of "monitoring" developments in the technological field affecting the protection of personal data (Article 10 of the LCA). However, the mission of "monitoring" of the General Secretariat implies, a priori, a more active level of control than that involved by the notion of "monitoring" incumbent upon the Steering Committee. Moreover, the Steering Committee does not have its own department and cannot ensure its monitoring without going through another body of the APD for assistance, which in this case was the General Secretariat, whose director chaired the Steering Committee.

65. The Contentious Chamber does not share the defendant's interpretation that the General Secretariat would have arrogated to itself "investigative" powers (a mission solely incumbent upon the Inspection Service) or "filtering of files." In the present case, the General Secretariat sent a dozen neutral questions regarding the operation of the new Freedelity service, in order to understand its functioning. The General Secretariat is indeed authorized to exercise such monitoring under Article 20§1,1° of the LCA, which is entirely distinct from the investigative power reserved for the Inspection Service (Article 28 of the LCA).

66. Thus, the criticisms of the Court of Auditors regarding the fact that the General Secretariat would operate a role of filtering files are not relevant to the present case, since in this instance, the file was opened at the request of a member of the Steering Committee and the Steering Committee decided to send a letter on August 20, 2019. The General Secretariat merely assisted the president of the Steering Committee while remaining within the limits of its legal competencies, and, in this way, allowed the Steering Committee to ensure the monitoring of the developments in the technological field in question.

11 According to the Larousse dictionary, the primary meaning of the term "monitoring" is defined as: "Action of monitoring, controlling something, someone." See in this sense the online version available at the following link: <https://www.larousse.fr/dictionnaires/francais/surveillance/75897>

12 According to the Larousse dictionary, the primary meaning of the term "monitoring" is defined as: "Set of operations consisting of following and controlling a process to achieve the desired result under the best conditions." See in this sense the online version available at the following link:

<https://www.larousse.fr/dictionnaires/francais/suivi/75313>

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67. Prohibiting the General Secretariat from contacting the relevant stakeholders regarding technological developments in order to fully assume its mission of "oversight" would amount for the APD to seeking the intervention of another body (for example, the Inspection Service) to ensure this oversight. Such a mode of operation would be entirely contrary to the spirit of the LCA, and to the logic of the internal distribution of competencies among the bodies of the APD, as explained above: it is not only provided in the text that the General Secretariat follows technological developments, but it is also logical that the General Secretariat assists the Steering Committee in the execution of its tasks, particularly when Article 13§3 of the LCA stipulates that the president of the APD – thus the president of the Steering Committee – is assisted in the execution of his tasks by the General Secretariat. Furthermore, the Inspection Service could not be seized at this stage, since its referral cannot originate from a request from the General Secretariat (Article 63 of the LCA) and no procedure justifies the sharing of an investigation by the Inspection Service with the General Secretariat, which must remain

confidential by principle (Article 28 of the LCA).

68. For these reasons, the General Secretariat remained within the limits of its competencies by contacting Freedelity, in the context of its oversight mission, in order to personally assess the impact of a technological development on data protection, as provided by Article 20§1,1° of the LCA, to inquire about the technological development that constitutes the new service offered by Freedelity, a service whose impact was certain due to the sensitive nature of the processing involved requiring the use of the identity card. Therefore, sending a letter requesting information regarding the processing of personal data in the context of the new service from Freedelity constitutes a proportionate measure within the framework of the oversight mission of the General Secretary and the monitoring of technological developments under the purview of the Steering Committee.

69. Secondly, regarding the use of language, as already decided by the Market Court, "Despite its public order nature, an illegality related to the language of a decision cannot lead to annulment if it is not likely to affect the meaning of the decision, if it has not deprived the interested parties of any guarantee, or if it has not had the effect of influencing the competence of the author of the decision." (free translation). In this case, Document 2 of the file was handled by the defendant without difficulty, and its sending occurred at a stage prior to the investigation by the Inspection Service.

70. In this case, the Contentious Chamber recalls the chronology of events:

- Sending of a letter requesting information in Dutch (Document 2) - 30.08.2019;

13 Judgment of the Market Court, dated September 4, 2019, 2018/AR/1446 et al., original version: "Ondanks zijn karakter van de openbare orde, kan een eventuele onwettigheid in verband met de taal van een beslissing, geen aanleiding geven tot vernietiging indien deze onwettigheid niet van aard is om, te dezen, een invloed hebben op de richting van de beslissing, zij de belanghebbende partijen geen waarborg heeft ontzegd of zij niet het effect heeft gehad om van invloed te zijn op de bevoegdheid van de auteur van het besluit."

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Freedelity requests to respond in French – 10.09.2019;

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APD agrees that the case will be handled in French - 20.09.2019;

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Freedelity sends its responses in French - 09.10.2019

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The remainder of the case is processed entirely in French.

71.

The responses provided by the defendant to the request for information letter in Dutch were drafted in French by the defendant, who was therefore perfectly able to understand the questions addressed to her.

72.

In accordance with the defendant's request, the remainder of the proceedings took place entirely in French. The defendant was therefore not deprived of procedural guarantees that could affect the present proceedings.

73. Consequently, the Contentious Chamber considers that the sending of a request for information letter to the defendant by the president of the General Secretariat (at that time, also president of the Management Committee) is in accordance with Articles 10 and 20§1,1° of the LCA. The fact that this letter was written in Dutch does not invalidate the procedure since the rights of the defense were not compromised.

II.3.3. Sending a note to the Management Committee by the General Secretariat ("DIRCO Report – Preliminary Information Letter – Freedelity")

74. First, the defendant criticizes the fact that the General Secretariat drafted a note ("Preliminary Information Letter") for the Management Committee based on the responses provided by the defendant (document 6 of the file). She also criticizes that this note uses elements from the contacts between the CPVP and the responses provided by Freedelity to the questions from the General

Secretariat. Secondly, the defendant claims that the document titled “probe letter” attached to the decision of the Management Committee of December 6, 2019, is not included in the file. She adds that the use of the term “probe” demonstrates the establishment of exploratory, abusive, unfair, and arbitrary procedures. She concludes that, in this case, the APD had no serious indication at the time it contacted Freedelity.

75. First, the Contentious Chamber notes that following the defendant's response to the request for information letter, an opinion was drafted by the General Secretariat for the Management Committee based on the responses provided (document 6 of the file). The Management Committee decided on this basis, on December 6, 2019, to request the Inspection Service to open an investigation.

76. As previously stated, the Contentious Chamber recalls that the General Secretariat has a supervisory mission (Article 20§1, 1° of the LCA). When this supervisory mission follows a request for follow-up from the Management Committee (Article 10 of the LCA), it is logical that a document be established based on the responses to the questions posed, to enable the Management Committee to ensure the continuity of its follow-up (Article 10 of the LCA).

77.

Indeed, to follow “the developments in the technological field” (emphasis added) in the sense of Article 10 of the LCA, it is necessary for the Management Committee to take into account all relevant information for understanding such developments. The Management Committee therefore legitimately cross-referenced and used the information provided by Freedelity during its contacts with the CPVP, of which the APD is a continuation.

78. The provision of necessary information for follow-up cannot be carried out by the Management Committee itself since it does not have a department - as previously indicated - and must therefore necessarily be carried out by an organ of the APD. In this case, the General Secretariat was the natural department of the APD for this purpose: the request for information already came from the General Secretariat, which logically ensured the follow-up of its correspondence, not to mention that this organ is entrusted by Article 10 of the LCA with a mission of monitoring technological development.

79. The Contentious Chamber concludes that the General Secretariat was perfectly justified in drafting an opinion for the Management Committee by gathering the information made available to it so that the Management Committee could decide to open an investigation subsequently. It is only based on the information reported by the General Secretariat that the Management Committee was able to assess the follow-up to be given to the procedure. No opinion or recommendation binds the Management Committee, which is sovereign in its assessment. In this instance, the Management Committee decided that the follow-up to the procedure would be the implementation of Article 63.1° of the LCA.

80. Secondly, the document titled “probe letter,” the legality of which the defendant contests, is indeed document 6 of the inventory, which has been part of the file since the beginning of the case and was provided to the defendant when she requested a copy of the file.

81.

Furthermore, the term “probe” on which Freedelity's grievance is based is used only once by a legal advisor who wrote the opinion to the Management Committee on which it pronounced on December 6, 2019. The term is never mentioned again, and the letter is officially titled (“DIRCO Report – Preliminary Information Letter – Freedelity”).

82. In its internal communications, the APD alternately uses the terms “monitoring” or “system monitoring procedure” regarding this letter. One cannot deduce from the mere use of these terms the unfair nature of the APD. Indeed, these terms are

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referred to in the very letter of the LCA, at most they are translated into English. The Disciplinary Chamber recognizes at most the use of different terms in internal communications to identify the procedure in question, which has no legal consequences on the procedure.

83. The actions taken by the General Secretariat constitute a necessary step in order to provide a complete file to the Management Committee so that it can make an informed decision. The defendant wrongly confuses on the one hand (i) the preparatory acts for the follow-up of a file as well as the decision of the Management Committee, and on the other hand (ii) the investigation itself.

84. The Disciplinary Chamber firmly reaffirms that an investigation can only be conducted by the Inspection Service (Article 28 of the LCA). Unlike the latter, neither the General Secretariat nor the Management Committee has the power to ascertain infringements or violations of the GDPR before submitting their findings to the Disciplinary Chamber.

85. The sending by the General Secretariat to the Management Committee of the contested note ("DIRCO Report – Preliminary Information Letter – Freedelity") occurred legally, based on Articles 10 and 20§1, 1° of the LCA.

II.3.4. Finding of serious indications by the Management Committee

86. First, the defendant argues that it was the General Secretariat that referred the matter to the Management Committee, with reference to Article 63.1 of the LCA, while it did not have serious indications to do so and therefore illegally decided to question the defendant. She believes that the article from the Echo was not sufficient on its own to trigger the opening of a file. Secondly, she adds that the Management Committee did not find serious indications in its decision of December 6, 2019, since it merely reiterated the report made by the General Secretariat. She specifically refers to the ruling of the Market Court of February 22, 2023¹⁴ to argue that the reasoning of the Management Committee is lacking. Thirdly, the defendant considers that the APD has undermined her legitimate trust by using information present in files from 2014 to 2016, whereas the predecessor of the APD, the CPVP, had closed those files.

87. First, regarding the issue of the competence of the General Secretariat, the Disciplinary Chamber refers to section II.3.3 above in which no illegality is established. Furthermore, the Disciplinary Chamber notes a misreading on the part of the defendant. The General Secretariat did not assist the Management Committee based on

14 Ruling of the Market Court, of February 22, 2023, No. 2022/AR/253, available at the following link: <https://www.autoriteprotectiondonnees.be/publications/arret-du-22-fevrier-2023-de-la-cour-des-marches-ar-953.pdf>

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Article 63.1° of the LCA, but rather on the basis of Article 20§1, 1° of the LCA, as clearly evidenced by the documents in the file.

88. The Disciplinary Chamber recalls that under the powers conferred to the Management Committee, it is their responsibility to request the Inspection Service to open an investigation if serious indications reveal the existence of practices that may lead to a violation of the fundamental principles of data protection (Article 63.1° of the LCA). As the Market Court has reiterated, this is a discretionary power of the APD¹⁵.

89. The elements subject to the report are in accordance with the letter of the LCA, insofar as the purpose of the monitoring or oversight is precisely the impact or incidence on the protection of personal data as required by Articles 10 and 20§1, 1° of the LCA). The elements retained by the General Secretariat focused well on such a purpose:

a) Article 10 of the LCA concerns technological areas that have an "impact on the protection of personal data"

b) Article 20§1, 1° of the LCA requires monitoring of technological developments having an "impact on the protection of personal data"

90. A report on a technology having an incidence or impact on the protection of personal data may reveal serious indications of the existence of a practice likely to lead to a violation of the fundamental principles of personal data protection (Article 63.1 of the LCA).

91.

Secondly, regarding the reference by reference, the Disciplinary Chamber recalls that the Council of State accepts motivation by reference, provided that the document referred to is part of the file¹⁶. This is the case here since document number 6, which constitutes the opinion of the General Secretariat ("DIRCO Report – Preliminary Information Letter – Freedelity"), is attached to the decision of the Management Committee and has always been part of the file. The decision of the Management Committee is formulated as follows:

"The conclusions of the attached annex contain indications of non-compliance with the following

principles: obtaining consent, profiling and sharing of data, data minimization, retention period, and recipients of the data" (free translation)¹⁷.

15 Judgment of the Market Court of February 22, 2023, No. 2023/1527, p. 40, available at the following link:

<https://www.autoriteprotectiondonnees.be/publications/arret-du-22-fevrier-2023-de-la-cour-des-marches-ar-953.pdf>.

16 Judgment of the Council of State of May 7, 2013, No. 223.440

17 Excerpt from the minutes of the Management Committee of December 6, 2019. Document 7 of the file. Original version: "De vaststellingen in bijlage gevoegd bevatten aanwijzingen betreffende niet conform handelen inzake de volgende principes: het verkrijgen van de toestemming, profilering en delen van gegevens, gegevensminimalisatie, bewaartermijn en ontvangers van de gegevens."

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92. The decision of the Management Committee therefore justifies its decision by referring to the note provided to it and relies on it to retain serious indications of breaches of the following principles:

- obtaining consent,
- profiling and sharing of data,
- data minimization,
- retention period,
- and recipients of the data.

93. Thirdly, regarding the defendant's argument that the consultation and use of information present in the files opened within the CPVP, the predecessor of the APD, would have violated the principle of legitimate expectation, the Disciplinary Chamber recalls that, like any public authority, it is subject to the duty of diligence which requires it to "conduct a thorough investigation of the facts, to gather the necessary information for decision-making, and to take into account all elements of the file to make its decision with full knowledge of the facts and after reasonably assessing all useful elements for resolving the specific case"¹⁸.

94. This duty requires the APD, when it wishes to make a decision concerning an individual, to verify whether and to what extent files have already been opened against that same individual. This search is also essential to ensure compliance with the principle of non bis in idem. The Disciplinary Chamber therefore considers that the General Secretariat was perfectly entitled to consult all files concerning the defendant, including closed files, to enable the Management Committee to make an informed decision.

95. The Disciplinary Chamber recalls that, according to the Council of State, the principle of legitimate expectation "means that the individual must be able to rely on a clear and well-defined line of conduct from the authority or, in principle, on promises that may have been made to him by the authority in a specific case. The violation of the general principle of legitimate expectation requires three conditions, namely an error by the administration, a legitimately created expectation following that error, and the absence of a reason allowing for a reversal of that recognition. This principle cannot be invoked based on acts emanating from an authority distinct from the one that adopted the contested act."¹⁹

18 Judgment of the Council of State, December 6, 2021, No. 252.324, p. 13.

19 Judgment of the Council of State of May 8, 2024, No. 259.704.

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96. The Contentious Chamber notes that in its analysis, the General Secretariat identified five indicators of non-compliance. Two of these indicators (indicators 3 and 5) are based solely on the responses provided by the defendant in its letter dated October 9, 2019. These indicators do not rely on any elements from older files. The other three indicators of non-compliance are based on a comparison between the elements contained in a letter from the defendant to the CPVP dated November 26, 2015, and the response of October 9, 2019. The General Secretariat noted in its three instances a change in the defendant's practice that it believed could constitute a violation of the principles of personal data protection. The General Secretariat had to carry out this verification to allow the Management Committee to "monitor developments," as explained previously, and to decide whether to refer the matter to the Inspection Service.

97. Thus, in its analysis, the General Secretariat argues that between 2015 and 2019, the data

retention period by the defendant would have increased from 5 to 8 years. It also states that the defendant would now be profiling based on the collected data, which it had previously indicated it was not doing.

98. For the Contentious Chamber, the analysis of the General Secretariat does not reveal any change in position from the APD nor a misinterpretation on its part. It therefore has no impact on the procedure. Indeed, it emerges from the Chamber's analysis that when the General Secretariat uses information from past files, it is to compare it with the current practices that the defendant has communicated to it. This comparison allowed the Management Committee to ensure its follow-up (Article 10 of the LCA).

99. For the Contentious Chamber, even if the CPVP had authorized the processing in question by the defendant, *quod non*, the principle of legitimate expectation does not mean that in the face of new facts and changes in practices, the public authority must maintain a course of action that it may have expressed in the past regarding facts that were significantly different. It is therefore incorrectly that the defendant invokes a violation of the principle of legitimate expectation.

100. In light of the preceding elements, the Contentious Chamber concludes that the decision of the Management Committee complies with the provisions of Article 63.1 of the LCA.

II.3.5. Referral to the Inspection Service by the Management Committee (validity of the minutes)

101. First, the defendant explains that the versions of the minutes sent to it do not allow for establishing whether the president of the Contentious Chamber, who abstained during the vote of the Management Committee on this point, participated in the discussion. Furthermore, it considers that it is not demonstrated that the majority of the members of the Management Committee were present, nor that a majority of the members voted favorably under Article 3 of the ROI. Finally, the defendant believes that there are doubts that a minute of the decision of the Management Committee was drawn up and signed by the president of the Management Committee, which would constitute a violation of Article 16 of the LCA.

102. Secondly, the defendant also argues that this decision, having been made in Dutch, would be contrary to the law on the use of languages in administrative matters, since the defendant is based in a French-speaking region.

103. First, the Contentious Chamber recalls that the minutes of the Management Committee cover numerous themes, including strategic decisions of the APD, and that they contain personal data. In accordance with the principle of data minimization (Article 5.1.c of the GDPR), and the respect for the principle of confidentiality applicable to the members of the Management Committee (Article 48 LCA), the Contentious Chamber does not transmit the minutes of the Management Committee in their entirety to the parties concerned by a procedure, but only an excerpt of said minutes in order to allow the parties to a procedure to assess their existence for the part that concerns them.

104. The defendant was provided with an excerpt of the minutes of the Management Committee regarding the activation of Article 63.1° against it at the beginning of the procedure on the merits. At its request, a broader excerpt was provided to it on May 2, 2023. A complete version of the minutes was provided to it on July 18, 2023, by the president of the APD.

105. The defendant was able to ascertain from the minutes, first, that all members of the Management Committee were present during the meeting of the Management Committee, but that the president of the Contentious Chamber recused himself for this agenda item; second, that no objection from any member of the Management Committee is noted; third, that the minutes were indeed signed by the president of the Management Committee; and fourth, that the Management Committee decided to refer the matter to the Inspection Service based on Article 63.1° of the LCA. The conditions of Articles 15 and 16 of the LCA are therefore met. The defendant's argument challenging the existence of minutes and the respect of their formalities is therefore unfounded.

106. Regarding the complaint concerning the impartiality of the members, the Contentious Chamber refers to its examination in section II.4.1 below.

107. Therefore, neither the validity of the minutes of the Management Committee nor the participation of the directors can be called into question. The procedure has complied with legal requirements, and no evidence of partiality has been presented.

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108. Secondly, in a judgment dated July 7, 2021, the Market Court recalled that the APD must be considered a central service within the meaning of the law on the use of languages in administrative matters and, as such, must comply with Articles 40 and following of this law.

109. However, the decision to refer the Inspection Service by the Management Committee does not constitute communication with individuals, within the meaning of Article 41 of the law on the use of languages in administrative matters, but rather an internal communication; thus, the use of French by the Management Committee was not required.

110. The referral of the Inspection Service by the minutes of the Management Committee is therefore valid and complies with the provisions of Articles 15 and 16 of the LCA, as well as Article 3 of the ROI.

II.3.6. Procedure before the Inspection Service

111. The defendant argues that the case reference used by the APD has been the same since the first letter sent by the General Secretariat, which tends to prove that there was a well-established "pre-inspection" procedure within the APD. She adds that the Inspection Service has taken over the exchanges that occurred between the General Secretariat and Freedelity under the title "Monitoring of the General Secretariat." The defendant further asserts that there is no evidence of the swearing-in of an inspector who worked on the case ("concerned inspector") even though this inspector contributed to the investigation.

112. The Contentious Chamber notes that the defendant draws no conclusions from the first two arguments mentioned regarding the reference and title of the case. As necessary, it refers in this regard to the previous developments on this point (see paragraph 8282).

113. Regarding the swearing-in, at the request of the defendant, the Contentious Chamber provided her on May 2, 2023, with a document entitled "Designation of Inspectors of the Inspection Service." This document, signed by the Inspector General and the Director of the General Secretariat, is dated June 25, 2019. It states that "Only the names of the agents of the Data Protection Authority below who took an oath on November 19, 2018, retain the status of inspector of the inspection service." Following this is a list of agents whose names have been redacted by the Contentious Chamber for privacy reasons, except for the name of the concerned inspector, which appears on the list.

114. For the Contentious Chamber, this document demonstrates that the concerned inspector took an oath on November 19, 2018, and that as of June 25, 2019, the APD considered that he retained the status of inspector of the inspection service. At the time of the referral of the Inspection Service by the Management Committee on December 6, 2019, the concerned inspector had indeed taken an oath and was still an inspector.

115. The Contentious Chamber also recalls that this type of request is not based on any legal basis. Indeed, the law provides that inspectors take an oath (Article 30 §1 of the LCA), which must be considered an established fact, unless there is serious doubt that must be proven by the defendant. The defendant cannot therefore rely on any legal basis to demand the transmission of these documents.

116. The Contentious Chamber concludes that the procedure before the Inspection Service is not flawed.

II.3.7. Referral of the Contentious Chamber by the Inspection Service

117. The defendant argues that the Contentious Chamber could not be validly seized since the Inspection Service itself was not validly seized.

118. The Contentious Chamber did not find any irregularity in the referral of the Inspection Service. Therefore, it considers itself legally seized based on Article 92.3° of the LCA.

119. The referral of the Contentious Chamber occurred legally based on Article 92.3° of the LCA.

II.4. Procedure: Respect for the Rights of the Defense

II.4.1. Impartiality of the Members of the Management Committee and the Committee Itself

120. It is necessary to distinguish the grievances raised by the defendant according to whether they concern the members of the Management Committee or the Management Committee itself.

II.4.1.1.

The President of the Contentious Chamber

Position of the Defendant

121. As a preliminary matter, and as stated in Section II.2, the defendant requests the President of the Contentious Chamber to recuse himself due to the legitimate doubt that exists regarding his impartiality. In the absence of a specific procedure established by the LCA, the defendant argues that Article 828, 1° of the Judicial Code should apply by analogy.

122. According to the defendant, the possibility of requesting the recusal of a judge is an integral part of Article 6 of the European Convention on Human Rights and Article 47 of the Charter of Fundamental Rights of the European Union. These same guarantees of independence and impartiality would also stem from Article 52 of the GDPR, which has been transposed into Belgian law by Article 36 of the LCA.

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123. In the event that the Contentious Chamber considers that the absence of an explicit provision in the law means that recusal is not possible, the defendant requests that a preliminary question be referred to the Constitutional Court.

124. The defendant believes that this bias or appearance of bias arises from the following elements:

a) Firstly, the president of the Contentious Chamber was aware of several documents concerning Freedelity that led to the decision of the Management Committee on December 6, 2019, and that despite his recusal during the examination of this point, it is impossible to know what his role was during that meeting.

b) Secondly, the president of the General Secretariat was reportedly dismissed from his position, notably due to "pre-inspection" procedures as carried out in the present case. However, the president of the Contentious Chamber testified before the Justice Commission during the lifting of the mandate of the president of the APD before the House of Representatives and also intervened as a party in the extreme urgency suspension appeal brought by the president of the APD before the Council of State against the decision to lift the mandate. He himself filed a suspension appeal against the decision to lift the mandate before the Council of State. For the defendant, the president of the Contentious Chamber would be defending the behavior of the president of the APD, which led to his dismissal.

c) Thirdly, the president of the Contentious Chamber could not refuse access to the request made by the defendant to access the decision to lift the mandate of the president of the APD on the grounds that he did not have this document, since he intervened in various proceedings before the Council of State regarding this decision and therefore necessarily had access.

d) Fourthly, the fact that the president of the Contentious Chamber refused to provide certain documents requested by the defendant and that he took a position on the competence of the CADA regarding access requests concerning documents held by the APD.

e) Fifthly, the defendant also believes that being a creditor is a ground for recusal, which would be the case for the president of the Contentious Chamber in this instance since, in the context of the recusal procedure initiated by Freedelity before the Market Court, the president requested and obtained a procedural indemnity, which in fact he has not yet demanded payment for.

Examination by the Contentious Chamber

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125. As a preliminary matter, the Contentious Chamber does not dispute that the principle of impartiality applies to administrative authorities. However, it should be emphasized that the principle of impartiality "must be reconciled with the structure of the active administration," as will be described below in paragraph 127.

126. The Contentious Chamber of the APD is presided over by Mr. Hijmans. The proper functioning of the Contentious Chamber and the APD requires that the president be available and able to sit on decisions on the merits (articles 33§1 and 92 to 107 of the LCA), as well as within the Management Committee, as evidenced by the dual competence of the directors of the APD bodies established by article 12 of the LCA.

127. According to consistent case law from the Council of State:

"The general principle of impartiality must be applied to any body of the active administration. It is sufficient that an appearance of bias may have raised a legitimate doubt in the applicant regarding the ability to address their case impartially. However, this principle only applies insofar as it is compatible

with the specific nature, and notably with the structure of the active administration. Furthermore, the impartiality of a collegial body can only be called into question if, on the one hand, specific facts that raise suspicions of bias regarding one or more members of that body can be legally established and, on the other hand, it appears from the circumstances that the bias of that or those members may have influenced the entire body. It is up to the party alleging that the authority did not act with independence, impartiality, and diligence to provide proof of this."

128. Therefore, it is up to the party invoking the breach of the principle of impartiality to demonstrate the existence of specific facts from which it should be concluded that the principle of impartiality has been breached. If the facts concern a member of a collegial body, the party invoking the breach of the principle of impartiality must demonstrate that the facts they identify are likely to have affected the impartiality not only of their author but also of at least a majority of the members of the collegial body in question.

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The bias of the president of the Contentious Chamber as a member of either the Management Committee or the Contentious Chamber sitting with three members.

129. Firstly, the criticism concerns the fact that the president of the Contentious Chamber allegedly received documents concerning the defendant prior to the meeting of the Management Committee on December 6, 2019. The defendant does not demonstrate how receiving these documents affects the impartiality of the president.

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These documents would demonstrate signs of bias on the part of the President of the Contentious Chamber, especially since he did not, at any time, react to these documents and recused himself during the discussion on this point, as evidenced by the minutes of the meeting. It is also not demonstrated how this bias, if proven, could have influenced the other members of the Management Committee.

130. Secondly, the Contentious Chamber holds that the impartiality of the President of the Contentious Chamber cannot be called into question by the fact that he filed a suspension appeal against the decision to lift the mandate of the President of the APD in his own name, as this appeal was filed because he believed that this decision posed a risk to his personal independence as President of the Contentious Chamber²⁵. Furthermore, the President of the APD did not conduct any "pre-inspections" in the present case (see section II.3.2 of the decision) and the defendant presents elements without proof of what she claims, nor any explanation allowing the Contentious Chamber to follow her reasoning.

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The Bias of the President of the Contentious Chamber Sitting Alone

131. Thirdly, the fact that the President of the Contentious Chamber responded to the defendant that the APD does not have the decision to lift the mandate of the President of the APD is a factual observation that reveals no bias. This statement has furthermore been corroborated by the President of the APD in her letter dated July 18, 2023.

132. The fact that the President of the Contentious Chamber may have been aware of this document is irrelevant as it occurred in the context of his private activities, since he intervened before the Council of State "on his own initiative, without being authorized by the data protection authority" (free translation)²⁶. It cannot be reasonably argued that the request for access to documents that the defendant made to the APD would also extend to documents that may be held by the directors outside of their function within the APD.

133. The Contentious Chamber further emphasizes that access to this document was also denied by the House of Representatives when the defendant requested access to it. In its order of February 12, 2024, the interim chamber of the court of first instance also dismissed the defendant's request for the production of this document.

134. Fourthly, the fact that the President of the Contentious Chamber granted access to certain documents and not to others requested by the applicant does not mean for

26 C.E. of August 17, 2022, No. 254.326. Original version: "op eigen titel, zonder daartoe te zijn gemachtigd door de Gegevensbeschermingsautoriteit."

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as far as he has thereby failed to demonstrate impartiality. The President of the Contentious Chamber is required to take a number of actions in the context of organizing the procedure, actions which he deems legitimate and these do not prejudice his personal assessment of the case on the merits.

135. Moreover, the partiality of the President of the Contentious Chamber is not further demonstrated by the response to the request for the production of documents made by the defendant based on the law of April 11, 1994, concerning the publicity of the administration. Indeed, in its response, the Contentious Chamber indicates that the APD does not currently consider itself subject to the law of April 11, 1994, concerning the publicity of the administration. This position does not demonstrate the partiality of the President of the Contentious Chamber since it reflects the position of the Management Committee as a whole and that the CADA itself shared this position in the past²⁷.

136. In this regard, the case law of the European Court of Human Rights teaches that a problem related to a lack of judicial impartiality does not arise when the judge has already made formal and procedural decisions at other stages of the procedure²⁸. On the other hand, this problem may arise if, at other stages of the procedure, the judge has already ruled on the guilt of the accused²⁹.

137. However, in this case, what is reproached to the President of the Contentious Chamber does not involve any position taken by him regarding the merits of the case and, in particular, regarding the behavior or responsibility of the applicant.

138. This teaching from the European Court of Human Rights concerns judges; it applies even more so to members of an administrative college.

139. Fifthly, the President of the Contentious Chamber does not act in his personal capacity in this matter. The procedural indemnity in question was requested in the context of the exercise of his functions within the APD, that is to say, as President of the Contentious Chamber, he has no personal or financial interest in this claim.

140. The lack of impartiality of the President of the Contentious Chamber is therefore not demonstrated. No valid reason could justify his recusal from the present case.

II.4.1.2.

The Director of the Knowledge Center

27 See in particular CADA, opinion 2018-14, available at:

https://www.ibz.rn.gov.be/fileadmin/user_upload/fr/com/publicite/avis/2018/ADVIES-2018-14.pdf

28 European Court of Human Rights (ECHR), case *George-Laviniu Ghiurău v. Romania*, 16/06/2020, Application no. 15549/16, § 67

29 *Gómez de Liaño y Botella v. Spain*, 22/07/2008, Application no. 21369/04, § 67-72. See also ECHR, Guide on Article 6 of the European Convention on Human Rights, Right to a Fair Trial – Criminal Aspect,

https://www.echr.coe.int/documents/guide_art_6_criminal_fra.pdf.

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141. The defendant argues that the director of the Knowledge Center at the time would have, in the context of her previous employment, worked with Freedelity and validated their legal model. The defendant believes that these agreements were covered by professional secrecy, trade secrets, and confidentiality agreements, and that this information was shared with the APD, which would have become complicit in the violation of this confidentiality.

142. The Disciplinary Chamber recalls that members of the Management Committee are bound by the principle of impartiality (Article 43 of the LCA), which prohibits them from being present during deliberations or decisions on matters in which they have a personal and direct interest. According to doctrine, "Personal and direct interest may be of a moral nature, particularly when one or more members of the decision-making authority have already expressed a clear viewpoint or formed a personal opinion and could not revert to it without losing face." (free translation)³⁰.

143. This principle means that no member of the Management Committee can have a personal interest in the decision taking a certain direction (*nemo iudex in causa sua*). In particular, being in a

moral impossibility to revise a prior viewpoint carries the risk that members of the administration, having already expressed (publicly) their opinion, may no longer evaluate the case with full objectivity³¹. Furthermore, the Disciplinary Chamber notes that the defendant does not justify how the situation meets the definition of a conflict of interest as provided in Article 58 of the ROI.

144. In this case, the director of the Knowledge Center has never worked within Freedelity, and therefore was not in a situation where the demonstration of a personal and direct interest regarding Freedelity, or a conflict of interest, could be inferred from her previous role. The fact that the director of the Knowledge Center was familiar with Freedelity's legal model and had "validated" it in the past does not demonstrate that she had a personal and direct interest concerning the decisions of the Management Committee based on Articles 10 and 63.1° of the LCA. The director of the Knowledge Center has never expressed any negative public opinion regarding Freedelity. At most, the director of the Knowledge Center expressed a positive opinion in the context of her former roles regarding Freedelity in the past. If the director of the Knowledge Center had indeed used information gathered in the context of her duties

30 Wolters Kluwer – Tijdschrift voor Bestuurswetenschappen en Publiekrecht, "Partijdigheid en belangenconflicten bij het actief bestuur: de sluipweg van het gelijkheidsbeginsel", Lise Van den Eynde, 2024, paragraph 4. Original version: "The most classic and perhaps best-known category is personal or subjective impartiality. It comes down to the fact that someone with a personal and direct interest must refrain from participating in the decision-making process" and "The personal and direct interest may be of a moral nature, among other things when one or more members of the decision-making authority have previously taken a clear position or formed their own opinion and could not revert to it without losing face."

31 See above

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previously, this should have led to the sole conclusion that the Freedelity service was valid.

145. Furthermore, contrary to what Freedelity claims, there is no evidence in the file that the director of the Knowledge Center used or shared confidential information with the APD. The only mention on which Freedelity relies is the following:

"When I analyzed the Freedelity offer a year ago, it constituted a clear violation of Privacy regulations in several respects."³²

146. No other phrase or information from the director of the Knowledge Center appears in the subsequent exchanges, opinions, and documents in the file. The Contentious Chamber cannot therefore conclude that it was confidential information cited by the defendant, and the entire procedure is based solely on information legitimately gathered by the APD.

147. The Contentious Chamber concludes that the director of the Knowledge Center did not violate the principle of impartiality applicable to members of the Management Committee (Article 43 of the LCA).

II.4.1.3.

The Director of the General Secretariat (Chair of the Management Committee)

148. First, the defendant also accuses the APD of not having communicated the decision regarding the removal of the president of the APD. Secondly, the defendant argues that the director of the General Secretariat was biased because he initiated the request for information to the defendant. Thirdly, the defendant claims that the type of procedure followed by the Management Committee in the present case would be the cause of the removal of his mandate. She justifies this by citing press articles and rulings issued by the Council of State in cases concerning the decision to lift a mandate.

149. First, the Contentious Chamber maintains that the APD does not have the decision to lift the mandate of its former president.

150. Secondly, the Contentious Chamber recalls that situations of bias cannot arise from the normal application of the law³³. However, the law provides that the director of the General Secretariat may be in a position to chair the Management Committee (Article 13§2 of the LCA), and that the chair of the Management Committee is assisted in the execution of his tasks by the General Secretariat (Article 13§3 of the LCA). For the rest, the Contentious Chamber refers to the previous developments on this point (see section II.3.2).

151. Thirdly, of the nine press articles provided by the defendant, only one (Exhibit 28 of the defendant's file) makes a brief reference (one sentence in a four-page article) to a possible overstepping of authority by the president of the APD. The file in question concerned questions posed to a Ghent school regarding a possible use of biometric data. No other file is mentioned.

152. The defendant does not provide evidence that this element was truly the sole cause or one of the causes of the removal of the president of the APD. She also does not explain how the finding of overstepping of authority that would have been noted by the House of Representatives in the file identified by the press would be transposable to the present case or even relevant to its handling.

153. It also does not emerge from the excerpts of rulings from the Council of State that the president of the APD had his mandate lifted for facts related to the present case, or to the procedures put in place for the activation of Article 63.1 of the LCA. The elements arising from the cited excerpts are indeed very general and refer to serious shortcomings and incompetencies that are not specified.

Furthermore, as demonstrated above, the present case was proposed to the Management Committee by a director other than the president of the APD. The sending of the first letter to the defendant, as well as the request to open an investigation, were decided by the Management Committee. These elements seem difficult to reconcile with allegations of overstepping of authority by the president of the APD.

154. The Contentious Chamber concludes that none of the elements put forward by the defendant allow it to conclude that the General Secretariat or its director was in a situation of bias or overstepping of authority.

II.4.1.4.

The Director of the Inspection Service (the General Inspector)

155. First, the defendant argues that the General Inspector (also a member of the Management Committee) had previously met and examined Freedelity while working for the CPVP and, on the other hand, had participated in the preparation of the file and decided to self-refer. She argues that the involvement of the General Inspector at the stage of preparing the file for examination by the Management Committee impacts his own referral and the admissibility of his work.

156. Secondly, she also argues that the General Inspector cannot take a position on the activation of Article 63.1 of the LCA by the Management Committee without affecting his impartiality.

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157. Firstly, regarding the arguments concerning the bias of the Inspector General, the Contentious Chamber refers to its previous developments concerning the analysis of bias situations (see paragraphs 142-143) and reminds that a situation of bias cannot arise from the normal application of the law. The fact that the Inspector General sits on the Management Committee during the decision-making phase of technological evolution monitoring (Article 10 of the LCA) or the phase of establishing serious indications (Article 63.1° of the LCA) is legally provided to be compatible with his function as Inspector General (Article 12 of the LCA).

158. Furthermore, the activation of Article 63.1 of the LCA (or Article 63.6) cannot in any way be equated to an accusation or investigation procedure as claimed by the defendant. It is a preliminary step to the opening of an investigation, which does not entail any definitive finding and does not prevent the Inspection Service from conducting its investigation impartially thereafter. As it has demonstrated in the past, the Inspection Service is perfectly capable of conducting an investigation concluding the absence of violations despite the findings of serious indications from the Management Committee.

159. The fact that a member of the Management Committee has "met" one or more staff members of a company does not put him in a situation of bias towards that company by that fact alone. Bias must be concretely demonstrated, which implies highlighting specific facts or behaviors. This obviously does not pertain to the fact that he worked on a file in the past or met a person on that occasion.

160. For the Contentious Chamber, the exchange of information within the DPA is a sine qua non condition for the proper execution of its mission to ensure compliance with data protection. A compartmentalization of information between departments only occurs when it is provided for by law. This is the case with Article 64.3 of the LCA, which stipulates that the investigation is confidential.

161. The LCA does not provide for any other restrictions on the exchange of information within the

DPA when such exchange is necessary for its functioning. Informal exchanges between directors during the preparation of acts leading to the adoption of a decision are normal and essential steps in the decision-making process. The open files with the SPL regarding the defendant and the information held by the Inspector General who was involved in these files as a lawyer at the time are entirely relevant for assessing whether there is a need to request an investigation against the defendant. The DPA

34 See in particular the decision of the Contentious Chamber 77/2020, in which the Management Committee requested the opening of an investigation by the Inspection Service. It found that the incriminated activity did not "involve the processing of personal data." The file was therefore closed with a dismissal.

35 See in this regard, the ruling of the Market Court, December 7, 2022, 2022/AR/556, available at the following link: <https://www.autoriteprotectiondonnees.be/publications/arret-du-7-decembre-2022-de-la-cour-des-marches-ar-556.pdf>, p.21. What applies to collegiate bodies also applies to a member of an administrative body.

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would have shown negligence by not utilizing the information available to it regarding the defendant to inform its decision.

162. Indeed, if the latter could not handle cases in which he had been involved as a lawyer prior to his appointment as Inspector General, this would de facto prevent the Inspection Service from exercising its powers with respect to a large number of data controllers. This is certainly not the intention of the House of Representatives, which appointed the Inspector General fully aware that he had been a lawyer within the CPVP. According to the Litigation Chamber, this situation does not allow for questioning his impartiality.

163. Secondly, the argument that the Inspector General cannot take a position on the activation of Article 63.1 of the LCA by the Steering Committee without affecting his impartiality does not convince the Litigation Chamber either. Indeed, the Steering Committee is not the only body that can request an investigation based on serious indications, as Article 63.6° of the LCA provides that the Inspection Service may, on its own initiative, open an investigation if there are serious indications of an infringement. If the law stipulates that the Inspection Service, and therefore the Inspector General, can decide alone that there are serious indications of an infringement, it can logically decide collegially within the framework of the Steering Committee, without this affecting its impartiality in conducting the investigation.

164. The LCA also provides a clear distinction between the investigative competence which is dedicated to the Inspection Service and the sanctioning competence which belongs to the Litigation Chamber.

165. In this case, the Litigation Chamber concludes that no indication of bias is demonstrated on the part of the Inspector General, who has merely fulfilled the missions incumbent upon him under the LCA.

II.4.1.5.

The Steering Committee

166. The defendant argues that since the majority of the members of the Steering Committee were in a situation of bias, the Steering Committee itself was biased.

167. As repeatedly recalled by the Litigation Chamber in this decision, in accordance with the consistent case law of the Council of State, the criticism of bias cannot be based on a situation arising from the normal application of the law.

168. Furthermore, "the impartiality of a collegiate body can only be called into question if, on the one hand, specific facts that raise suspicions of bias against one or more members of that body can be legally established and, on the other hand, it appears from the circumstances that the bias of that or those members could have influenced the entire body."

36 Judgment of the Council of State of May 11, 2021, No. 250.571

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college. It is up to the party alleging that the authority did not act with independence, impartiality, and

diligence to provide evidence thereof.³⁷

169. The Market Court specifies that the alleged bias of a collegiate body must be concretely demonstrated, which requires highlighting specific facts or behaviors concerning that body, thus posed by its members.³⁸

170. The Management Committee is composed of the directors of the APD (Article 12 LCA). Each director is responsible for the management of a body, as established by the competencies outlined in the LCA. The Management Committee is competent to refer the Inspection Service in the event of serious indications of a practice likely to violate the fundamental principles of personal data protection (Article 63.1° of the LCA).

171. For the Contentious Chamber, the defendant must therefore demonstrate for each of the members of the Management Committee to whom it makes this accusation that, on the one hand, they have shown bias, and on the other hand, they have been able to influence the other members of the college. The Contentious Chamber further adds that the fact that a member of the Management Committee may have shown a lack of impartiality – which is not the case here – is not sufficient in itself to invalidate a decision of the Management Committee.³⁹

172. However, as explained in sections II.4.1.1, II.4.1.2, II.4.1.3, and II.4.1.4, the bias of the members is not demonstrated. Furthermore, even if the bias of a member of the Management Committee were demonstrated, it would not be sufficient to taint the decisions made by the Management Committee, which are valid provided that the "majority" of the members were present (Article 15 of the LCA).

173. Therefore, neither the bias of the members of the Management Committee nor that of the Management Committee itself is demonstrated. The Contentious Chamber concludes that the defense's arguments regarding the issue of bias are not valid.

II.4.2. Processing within a Reasonable Time and Timeframe to Prepare a Defense

174. The defendant argues that the procedure lasted nearly five years after the first disputed letter, which exceeds the reasonable timeframe, and that they did not have the opportunity to adequately defend themselves. They accuse the APD of deliberately soliciting written contributions from the defendant during vacation periods. They cite

37 C.E., November 30, 2022, 255.145, Lemaire and Loslever; see also C.E., January 19, 2022, 252.684.

38 Judgment of the Market Court of December 7, 2022, 2022/AR/556, available at the following link: <https://www.autoriteprotectiondonnees.be/publications/arret-du-7-decembre-2022-de-la-cour-des-marches-ar-556.pdf>.

39 Judgment of the Market Court of December 7, 2022, 2022/AR/556, available at the following link: <https://www.autoriteprotectiondonnees.be/publications/arret-du-7-decembre-2022-de-la-cour-des-marches-ar-556.pdf>.

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notably a ruling from the Court of Appeal of Brussels which states that a case that had experienced a period of inactivity of two years exceeded the reasonable time limit.

175. The defendant invokes unreferenced case law to argue that the rights of the defense regarding the useful time limit and the right to a reasonable time apply to the APD.

176. The Contentious Chamber confirms that it is indeed subject to the respect of the rights of the defense, including the right to a reasonable time, protected by Article 48 of the Charter of Fundamental Rights of the European Union and Article 6 of the European Convention on Human Rights.

177. Regarding the reasonable time, the defendant mentions a ruling from the Court of Appeal of Brussels in which it would have found an exceeding of the reasonable time limit in a case that had experienced a period of inactivity of two years. This ruling is not provided to the Contentious Chamber. Therefore, it cannot take it into account.

178. The Contentious Chamber recalls that, according to the case law of the Council of State, "the principle of reasonable time, which is derived from the general principles of good administration and legal certainty, is applicable to all administrative decisions. The reasonable time within which any administrative authority must ensure a decision is only counted from the moment it is able to do so. The assessment of whether the duration of a procedure is reasonable or not is a matter of specifics

that depends, in particular, on the circumstances of the case, and more specifically on the respective behaviors of the authority and the person concerned."⁴⁰

179. The Inspection Service sent letters containing questions to the defendant in June and October 2020. It subsequently conducted technical assessments and posed new questions to Freedelity in October 2021. It carried out further technical assessments between December 2021 and February 2022. In April 2022, it sent its report to the Contentious Chamber.

180. The Contentious Chamber finds that an investigation lasting approximately two years does not exceed the reasonable time limit, given that numerous investigative acts were carried out during these two years, which is the case here. Furthermore, in the present case, the Contentious Chamber does not observe any period of inactivity approaching two years.

181. The Contentious Chamber notified the defendant of its intention to address the case on the merits in July 2022, three months after its referral. The period separating this decision to address the case on the merits and the adoption of the present decision was marked successively by requests for the production of documents⁴¹, by a

40 Ruling of the Council of State, September 13, 2022, no. 254.469, p. 16.

41 See document 94 of the file.

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request to the CADA, through a request for recusal followed by a procedure before the Court of Markets and a summons for interim relief, through requests for postponement of the hearing, and by multiple requests for stay of proceedings, notably pending the publication of a ruling from the Court of Justice of the European Union, all of which were made by the defending party. In light of these numerous procedures that have led to several postponements of the hearing, it cannot be reasonably argued that the case has been subject to an abnormally long period of inactivity or that the Contentious Chamber was in a position to adopt a decision more quickly.

182. Regarding the right to a reasonable time for defense, the Court of Markets ruled in a judgment dated June 12, 2019, that "The establishment of a schedule for conclusions where each party has about one month and where the defending party receives the final deadline is in accordance with the rules of the rights of defense." (free translation)

183. The Contentious Chamber notes that during the investigation by the Inspection Service, the defending party always had a response time of at least 30 calendar days and a maximum of 45 days, which is in accordance with the case law of the Court of Markets. The Contentious Chamber cannot therefore conclude that there was a violation of the right to a reasonable time for defense at the investigation stage.

184. Regarding the deadlines granted to the defending party during the proceedings on the merits, the Contentious Chamber recalls that these are identical in all cases it handles on the merits and that they are extended by two weeks during the months of July and August. The defending party therefore had a period of 8 weeks, which is the same as that which would have been granted to any other defending party in a procedure based on an investigation report. This period was subsequently extended by three weeks at the request of the defending party. It was once again extended by two weeks at their request, bringing the total to 13 weeks.

185. When additional documents were provided to the defending party following their requests, they had a period of two weeks to adapt their conclusions (a period extended by one week at their request). The defending party cannot therefore reasonably argue that the deadlines granted to them by the Contentious Chamber, which were

42 See document 94 of the file

43 See in particular documents 87 and 136 of the file, and the following pages of the additional conclusions of the defending party:

(i) page 163, "The Contentious Chamber must stay proceedings on this point pending the outcome of case C154/21 pending before the Court of Justice."

44 Judgment of the Court of Markets, dated June 12, 2019, No. 2019/AR/741, available at the following link: <https://www.autoriteprotectiondonnees.be/publications/arret-du-12-juin-2019-de-la-cour-des-marches-disponible-en-neerlandais.pdf> P.11. Original version: "Het opstellen van een

conclusiekalender waarbij elke partij over ongeveer één maand beschikt en waarbij de verwerende partij de laatste termijn verkrijgt is conform aan de regels van de rechten van verdediging.”

45 The Contentious Chamber notes in this regard that when the Court of Appeals of the Brussels Court of First Instance ordered the APD to provide additional documents to the defending party, it also considered that a period of 15 days was sufficient for the defending party to conclude on the documents (a period that was granted to the defending party by the APD).

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extended on its part multiple times, did not allow it to have a useful period to prepare its defense.

186. The Contentious Chamber concludes that there has been no exceeding of the reasonable time limit in the present case, nor any failure regarding the right to a useful time limit.

II.4.3. The Principle of Adversarial Proceedings

187. The defendant believes that by repeatedly and consistently refusing to provide certain documents it requested, the APD violated the principle of adversarial proceedings and the rights of the defense.

The defendant considers that the APD has repeatedly refused to provide key elements in the case and in its defense.

188. The Contentious Chamber recalls that the LCA does not define the composition of the administrative file. It consists of all decisions and official documents related to a case (decisions of the SPL, investigation report of the SI, decisions of the CC, etc.). The Contentious Chamber transmitted the entire administrative file to Freedelity when the latter requested it.

189. The defendant subsequently demanded the production of internal documents from the APD that are not traditionally present in an administrative file. The defendant's requests varied numerous times and were made on various grounds.

190. On May 2, 2023, the Contentious Chamber transmitted to Freedelity all additional documents that it requested, to the extent that the APD had them.

191. On July 18, 2023, the APD further transmitted to Freedelity certain documents following the opinion of the CADA, namely the agenda of the APD Management Committee meeting of December 6, 2019, as well as a more complete version of the minutes of that same meeting.

192. It was only on December 22, 2023, through a first interim citation, that Freedelity requested (from the Court) broader access than that previously requested and obtained.

193. The APD responded to this new request by transmitting to Freedelity the more recent documents from the administrative file – these documents being all already known to Freedelity, as they consist of correspondence between Freedelity and the APD.

194. The APD also voluntarily transmitted additional documents to Freedelity on January 12, 2024, which it deemed relevant in the context of the criticism that Freedelity intended to formulate regarding how the APD was seized of the matter concerning it.

195. Subsequently, in the context of the interim proceedings, Freedelity and the APD agreed that the APD would provide certain additional documents.

196. Finally, following the order of the Interim Chamber, the APD provided additional documents, including preparatory documents, such as internal communications between APD employees.

197. It emerges from the chronological description above that the APD has, on several occasions and voluntarily, provided additional documents to the defendant. It also complied with the order of the Interim Chamber when it imposed the provision of certain additional documents.

198. The fact that a party to a case requests the production of additional documents to the administrative file does not mean that the Contentious Chamber is obliged to comply without being able to contest the necessity of such production.

199. The fact that the APD contested, for certain documents, the necessity of producing them cannot lead to a violation of the principle of adversarial proceedings and the right of defense. Indeed, the APD was justified in opposing the production of certain documents, as both the CADA and the Interim Chamber denied Freedelity access to certain documents. Furthermore, all documents could be subject to adversarial debate, notably during the hearing.

200. As for the decision to lift the mandate of the former president of the APD, the Contentious Chamber refers to the developments above (see paragraphs 130-133 and section II.4.1.3).

201. Moreover, the Contentious Chamber notes that the defendant was ultimately able to obtain all the

documents necessary for its defense, as it was able to exhaustively formulate the grievances it wished regarding the legality of the procedure.

202. The Contentious Chamber cannot find a violation of the principles of adversarial proceedings and the right of defense in this case.

II.4.4. Violations of the Principles of Good Administration

203. The defendant believes that the duty of "fair play," the duty of "solicitude," and the duty of motivation were not respected by the APD, without further details regarding these grievances.

204. The Contentious Chamber notes that the defendant does not explain what it means by "duty of fair play" and "solicitude," does not cite its sources, and does not justify how the duty of motivation was not respected by the APD.

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205. Regarding the duties of "fair play" and "diligence," the defendant's grievances are formulated as follows: "The Authority seriously fails in its duty of fair play and diligence, which are principles of good administration in their own right." The Contentious Chamber can only note the absence of factual arguments that should corroborate the lack of respect for such duties.

206. The Contentious Chamber cannot therefore respond to these arguments and refers, as necessary, to its considerations regarding the principle of adversarial proceedings and access to files above (see section II.4.3).

207. The Contentious Chamber considers that the principles of good administration have been respected.

II.5. On the merits

II.5.1. On the processing in question, the responsibility for processing, and the legal bases

1. On the processing in question

208. Article 4, 2) of the GDPR defines processing as "any operation or set of operations performed or not by automated means and applied to personal data or sets of personal data, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, communication by transmission, dissemination or any other form of making available, alignment or combination, restriction, erasure or destruction."

209. In this case, the Contentious Chamber notes based on the information provided by Freedelity to the Inspection Service that the following data processing activities are in place:

210. First, the collection of personal data⁴⁷:

a) directly provided by customers through the reading of the eID card. The reading of the eID card can be carried out, in particular, via eID readers, via a terminal installed at Freedelity's clients, or via any other type of terminal. For individuals who do not have a Belgian eID card or do not wish to use one, the same data can be entered manually on the screen of a terminal or via the partner's website by the individual concerned or the staff of Freedelity's clients, based on the information provided by the individual concerned.

47 See page 24 of the additional conclusions

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b) by Freedelity:

- via its platform or its MyFreedelity application, including cookies embedded in emails and other digital interfaces, or
- by recording the data communicated by the individual concerned as part of their voluntary registration in the Freedelity file.

211. In its responses to the questions from the Inspection Service⁴⁸, Freedelity indicates that the data collected is largely done through Freedelity terminals⁴⁹, with a less significant portion of data collected through an authorized seller by the client of Freedelity, and very rarely, data is collected through the completion of an online form.

212. Secondly, the pooling of personal data⁵⁰ consists of sharing and automatically updating a common consumer's information among several brands that have subscribed to the Custocentrix service, with which the consumer has a relationship, while ensuring that those already holding their data can access these updates if the consumer's personal data has changed. To understand this

processing, it is essential to recall that most electronic data contained in the identity card is updated in the event of a change⁵¹. Thus, as the defendant recalls in its conclusions, if a brand A has more recent information about a common consumer with a Brand B, then pooling allows for the transfer of this updated data to Brand B. Only companies that already have a commercial relationship with the consumer (i.e., that have, prior to the issuance of the card, this consumer in their database) can access the updated data through this pooling.

213. The Contentious Chamber believes that the processes of collection and pooling are inextricably linked, as the purpose of collecting data from the electronic identity card is to enable the feeding of the Freedely file, which presents itself as an accurate and constantly updated database. Indeed, as Freedely⁵² emphasizes, "Registration in the Freedely file does not entail any specific purposes other than those related to the management of the Freedely file. It is one and the same processing. These data flows reach us through the

48 See page 11 of the responses provided by Freedely to the Inspection Service on October 29, 2020.

49 Freedely only collects information contained in the eID card through the terminals and readers distributed by it (see page 14 of the responses provided by Freedely to the Inspection Service on October 29, 2020).

50 See page 14 of the additional conclusions of the defendant.

51 For example, Belgian citizens have eight days to declare their new address to the population service of the municipality in which they move. This new address is recorded by the municipality in their electronic identity card, even if this data does not appear on the official (physical) document.

52 See page 3 of the responses provided by Freedely to the Inspection Service on October 29, 2020. Decision on the merits 146/2024 – 37/67

different methods of data collection and consent as previously described." These will be examined together in the following sections.

214. The Contentious Chamber notes that the defendant does not contest implementing the processing described in the preceding paragraphs.

2. On the responsibility for processing

215. A data controller is defined as "the natural or legal person, public authority, service, or other body which, alone or jointly with others, determines the purposes and means of the processing" (Article 4.7 of the GDPR) (emphasis added). This is an autonomous concept specific to data protection regulation, which must be assessed based on the criteria it establishes: determining the "purposes" and "means" of processing involves deciding on the "why" (the reason or objective of the processing) and the "how" (the manner in which this objective will be achieved)⁵³.

216. In some cases, responsibility is considered joint. For there to be joint responsibility in data processing, it is necessary for two or more entities to participate together in determining the purposes and means of the processing. This participation can manifest itself through a common decision or through converging decisions that complement each other and are essential for the realization of the processing. A key criterion is that the processing could not take place without the contribution of each party, which means that the processes are inseparable and inextricably linked⁵⁴.

217. The Contentious Chamber reminds that in the case of joint responsibility, Article 26 of the GDPR requires joint controllers to ensure, through a contract, that they mutually comply with the GDPR.

218. According to the EDPB guidelines on the concepts of controller and processor⁵⁵, "Joint participation may take the form of a common decision made by two or more entities or arise from converging decisions adopted by two or more entities, when the decisions complement each other and are necessary for the realization of the processing in such a way that they have a concrete effect on the determination of the purposes and means of the processing. An important criterion is that the processing would not be possible without the participation of both parties in the sense that the processing by each party is inseparable from that of the other, that is to say, inextricably linked.

53 EDPB, Guidelines 07/2020 on the concepts of controller and processor in the GDPR (v.2), adopted on July 7, 2021, (hereinafter "Guidelines 07/2020"), section 35.

54 EDPB, Guidelines 07/2020, page 3.

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Joint participation must encompass, on the one hand, the determination of purposes and, on the other hand, the determination of means” (emphasis added).

219. The Contentious Chamber will successively analyze the situations of joint participation in the determination of purposes (a) and the determination of means (b).

a) The determination of purposes

220. First, the Contentious Chamber notes that the purpose of collecting and pooling personal data is to feed the shared Freedelity file to enable a unique and updated identification of consumers.

221. Freedelity claims that it exclusively controls this purpose, with the brands only intervening in the modalities of collection and not making decisions regarding the final objectives of the processing. In this sense, Freedelity considers that joint responsibility does not apply.

222. Contrary to the defendant's assertion, the Contentious Chamber considers that this purpose is common to Freedelity and the brands. Indeed, this purpose is necessary for Freedelity to enrich its database to attract brands interested in reliable and up-to-date identification of their consumers. It is also essential for the brands wishing to avoid any confusion among their consumers and thus prevent the accumulation of outdated data.

223. The fact that these processes occur one after the other has no bearing on the qualification of joint data controller. According to the CJEU, “the existence of joint responsibility does not necessarily result in equivalent responsibility of the different operators involved in the processing of personal data. On the contrary, these operators may be involved at different stages of this processing and to different degrees, such that the level of responsibility of each of them must be assessed taking into account all relevant circumstances of the case”⁵⁶.

224. To eliminate any ambiguity, the Contentious Chamber specifies that this decision does not address the specific processing purposes of the brands (such as consumer enrollment in loyalty programs, sending digital invoices, etc.), for which Freedelity has no joint responsibility. It is important not to confuse these specific purposes of the brands with the common purpose in question, which is the collection and pooling of data to update the Freedelity file. Confusing these different purposes, as the defendant does,

⁵⁶ Judgment of the CJEU of June 5, 2018, *Wirtschaftsakademie Schleswig-Holstein*, C 210/16, EU:C:2018:388, paragraph 43.

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leads to a mischaracterization of the roles of the parties. Furthermore, the Contentious Chamber does not dispute that when a brand ceases its collaboration with Freedelity, Freedelity remains the sole data controller for future processing, even if the data was initially collected by the brand that terminated its contract with Freedelity.

b) Determination of means

225. Secondly, regarding the means, the Contentious Chamber recalls that according to the EDPB guidelines⁵⁷, “It may also be the case that one of the concerned entities provides the means of processing and makes them available for the personal data processing activities carried out by other entities. The entity that decides to use these means so that personal data can be processed for a specific purpose also participates in the determination of the means of processing. This scenario may occur in the case of platforms, standardized tools, or other infrastructures that allow the parties to process the same personal data and that have been created in a certain way by one of the parties to be used by other parties, who can also decide how to create them.”

226. In this case, the means of processing are also defined jointly: the collection is primarily carried out by customers via devices provided by Freedelity and offered by the brands (particularly via kiosks). In terms of means, Freedelity centralizes the data in a technical infrastructure it has developed, but the pooling is itself made possible by the ongoing contributions of customers, who regularly transfer identity data to enable the updating of information.

227. Furthermore, Freedelity explains that the content of the kiosk varies between brands in order to take into account the multiple customer journeys and actions related to the collection of personal data

as well as the expectations of its clients regarding the consideration of elements that are specific to them, including their identity and their graphic charters⁵⁸. Regarding manual forms, Freedelity explains that the forms may vary from one client to another (i.e., the visual and the content of the text). For some, it is even Freedelity that does the formatting work on behalf of the client⁵⁹.

228. Regarding this last point, the Inspection Service requested further clarifications. Freedelity responded that: "The process is similar to that of the design of the forms used in the Kiosks when the setup of the form is entrusted to us. We do not reinvent the wheel for each client, which explains why the underlying logic remains similar"⁶⁰.

229. In a document intended for the brands, although having excluded joint liability, Freedelity reveals a non-exhaustive list of cases where an obvious collaboration must occur between Freedelity and the brands, which further strengthens the Contentious Chamber's analysis that this is a case of joint liability⁶¹. This non-exhaustive list refers, among other things, to:

- the validation of forms and processes for collecting personal data via kiosks, cash register systems, or other digital interfaces,
- the production and delivery of brochures intended to inform consumers,
- informing consumers when collecting their consent for the processing of their data through the provision of oral explanations supported by the delivery of the explanatory information brochure,
- providing alternative solutions to reading the identity card in order to benefit from the advantages or loyalty program.
- the explicit mention of the use of Freedelity's services in the terms and privacy policy,
- validating the robustness of the processing of data flows between the clients' applications and CustoCentrix,
- mandatory and immediate coordination in the event of personal data breaches,
- coordination in response to requests for deletion of their data by certain consumers,
- establishing IT systems ensuring the required IT security.

230. In conclusion, while the collection primarily falls to the brands, and the pooling is carried out by Freedelity, these operations are inseparable and inextricably linked, as the latter could not occur without the former. In other words, the pooling by Freedelity is only possible through the collaboration of the brands in the process of collecting identity data.

57 EDPB, Guidelines 07/2020, sections 64 and 65.

58 See page 8 of the responses provided by Freedelity to the questions posed by the Inspection Service on October 29, 2020.

59 See page 9 of the responses provided by Freedelity to the questions posed by the Inspection Service on October 29, 2020.

60 See page 15 of the responses provided by Freedelity to the additional questions posed by the Inspection Service on October 29, 2021.

61 Freedelity "White Paper," 2020 edition.

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231. This technical infrastructure, configured by Freedelity but primarily integrated into the clients' environment, demonstrates a convergence of the means of processing and the purposes implemented to achieve it. The Contentious Chamber considers, just like the Inspection Service, that this is a case of joint liability.

232. Freedelity is jointly responsible for processing with its clients for the collection and pooling of identity data.

3. On the legal bases for processing

233. Article 5.1.a of the GDPR requires that data be processed lawfully, fairly, and transparently, which notably imposes the need to secure a legal basis for implementing data processing.

234. Under Article 6.1 of the GDPR, several legal bases may be invoked by the data controller, including consent: "Processing shall be lawful only if and to the extent that at least one of the following applies:

235. a) the data subject has given consent to the processing of his or her personal data for one or more specific purposes;

236. [...]”.

237. The collection and pooling of personal data must occur in compliance with applicable law, notably Article 6, §4 of the 1991 law and the GDPR. This article of the 1991 law requires obtaining prior “free, specific, and informed” consent for the electronic reading of the data on the identity card. The CPVP (predecessor of the APD) issued a recommendation on May 25, 2011, in which it recommended: “The prior obtaining of the client’s free, specific, and informed consent to proceed with the electronic reading of his or her identity card within the framework of a loyalty program. An alternative to the use of his or her identity card must also be offered to him or her” (emphasis added).

238. These criteria directly echo the criteria for valid consent under the GDPR and must meet the consent conditions of Article 6.1.a) of the GDPR, as provided in Article 4.11) of the GDPR, and explained in the Guidelines 5/2020 of the EDPS on consent under Regulation (EU) 2016/679.

62 Law of July 19, 1991, on population registers, identity cards, foreigner cards, and residence documents, available at the following link: https://www.ejustice.just.fgov.be/img/l/pdf/1991/07/19/1991000380_F.pdf

63 CPVP, Recommendation No. 03/2011 of May 25, 2011, regarding the copying of identity cards, as well as their use and electronic reading, the link to which is accessible here: <https://www.dataprotectionauthority.be/publications/recommandation-n-03-2011.pdf> (page 7)

64 Under Article 4.11) of the GDPR, consent is defined as “any freely given, specific, informed, and unambiguous indication of the data subject's wishes, by which he or she, by a statement or by a clear affirmative action, signifies agreement to the processing of personal data relating to him or her” (emphasis added).

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239. These criteria ensure that each individual retains full control over the use of their personal data, particularly regarding the reading of their electronic identity card, for which the Belgian legislator has provided a specific regime. In France, the National Commission on Informatics and Liberty has even considered that an electronic identity card contains information that can be regarded as “highly personal data.”⁶⁵

240. Consent ensures that this control is exercised with full knowledge, thereby allowing the individual concerned to freely decide whether or not they accept that their data be used in this specific context. This choice must be made freely and specifically, meaning it must relate to a clearly defined purpose. Furthermore, the obligation to offer an alternative to the use of the eID card is essential to ensure that the use of this card remains an option, and not an obligation.

241. In this sense, Article 6§4 of the 1991 law protects citizens by ensuring that the processing of their identity data occurs within a transparent framework, respectful of their privacy, and in compliance with the fundamental principles set out by the GDPR. The use of consent, as provided for in Article 6.1.a of the GDPR, is therefore the appropriate legal basis for the processing of personal data collection and sharing.

242. In conclusion, the collection and sharing of personal data must be based on the consent of the individuals concerned, namely the consumers of the brands, in accordance with Article 6.1.a of the GDPR.

II.5.2. Finding 1: On the validity of consent (5.1.a., 6.1.a, 7 and 5.2. of the GDPR):

243. As a preliminary point, some consent mechanisms implemented by Freedelity and certain brands will be recalled. The brands whose processing has been examined offer an alternative to data collection via identity card, namely by filling out a manual form. This obligation is provided for by the 1991 law⁶⁶ and is applied – for example – as follows:

a) On the Freedelity website, to create a profile, the individual concerned must provide their identity card number and activate the toggle “I consent to registration with Freedelity and agree to its privacy charter” (linked to a link).

b) At Brand A, a kiosk associated with a welcome screen invites the consumer to insert their identity card to give their consent,

65 See in this regard the doctrine of the French data protection authority (the National Commission on Informatics and Liberty), which considers that the NIR [National Identification Number] is a “highly

personal data": <https://www.cnil.fr/fr/tout-savoir-sur-le-decret-cadre-nir-dans-le-champ-de-la-sante>
66 Article 6§4 of the Law of July 19, 1991, on population registers, identity cards, foreign cards, and residence documents, available at the following link: https://www.ejustice.just.fgov.be/img/l/pdf/1991/07/19/1991000380_F.pdf

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which must be deemed obtained, according to the defendant, when the person inserts their card into the card reader and continues to navigate within the pages of the kiosk:

“By using your identity card, you agree that Brand A and Freedelity use the identity data to inform you of actions that correspond to your profile and interests and to update the databases of Freedelity's business partners. Learn more.”

By clicking on “Learn more,” a page opens where Brand A presents three distinct purposes for which this consent is obtained:

- (i) To update the information of the data subjects in the databases of Brand A and other partners of Freedelity,
 - (ii) To allow Brand A to carry out its marketing actions based on the recording of the phone number and email address,
 - (iii) To allow Brand A to send a digital warranty proof (proof of purchase) in place of the receipt.
- c) At Brand B, two consent mechanisms are offered through the kiosks: 1) “I agree that Brand B uses my data to inform me of upcoming actions based on my interests,” and 2) “I agree that Freedelity, the designated partner of Brand B for managing my loyalty card, manages my data in this context, informs me of actions based on my interests, and updates the databases of Freedelity's partners.” However, on the Brand B website, three consent mechanisms are present: 1) “I consent to registration with Brand B and adhere to its privacy charter [link],” 2) “I consent to registration with Freedelity and adhere to its privacy charter [link],” 3) “I consent to receive offers via SMS and email from Brand B.”
- d) On the Brand C website, three consent mechanisms are proposed during manual registration: 1) “I accept the registration, the general conditions [link], and the privacy policy [link] of Freedelity,” 2) “I accept the registration and the general conditions of Brand C [link],” 3) “I accept to receive offers via SMS and email from Brand C.”

244. The defendant argues that the various mechanisms for obtaining consent implemented by the brands for the collection and sharing of personal data are all compliant with the GDPR. Regarding its three aforementioned partners, it successively analyzes the characteristics of consent to demonstrate that they meet the requirements of Article 4.11 of the GDPR. While it is not possible to present in detail the defendant's arguments in this section, which extends over

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50 pages of conclusions, the Contentious Chamber will respond to the defendant's arguments in its analysis below.

245. The Contentious Chamber refers to its previous paragraphs regarding the necessity of obtaining a legal basis for processing under Article 5.1.a of the GDPR (see paragraph 233), and consent taken as a possible legal basis under Article 6.1.a of the GDPR (see paragraph 234).

246. It recalls that under Article 4.11 of the GDPR, consent is defined as “any manifestation of will, free, specific, informed, and unambiguous by which the data subject agrees, by a statement or by a clear affirmative action, to the processing of personal data concerning them.”

247. Article 7.1 of the GDPR regarding the conditions applicable to consent states that: “in cases where the processing is based on consent, the controller shall be able to demonstrate that the data subject has given consent to the processing of personal data concerning them.” Furthermore, the data controller must be able to demonstrate that valid consent has been given (Article 5.2 of the GDPR).

248. It follows from the investigation by the Inspection Service and the observations provided by Freedelity that the brands are contractually designated as distinct data controllers. The clauses of the contract subject them to general obligations of cooperation with Freedelity, to collect valid consent and provide information to the data subjects. The Contentious Chamber reminds that it is not bound by a qualification of the role of the parties as resulting from the agreements concluded between them.

249. The Contentious Chamber finds that the various mechanisms presented in paragraph 243 are

significantly different, and each, in its own way, fails to meet the essential criteria of consent. The defendant uses as a general argument that the EDPB guidelines on consent, used to support the analysis made by the Inspection Service, are not applicable to Freedelity as they were adopted after the investigation. This argument is irrelevant, as these guidelines essentially reiterate the findings of the consent guidelines adopted in 2017 by the Article 29 Working Party ("G29"):

A) Free nature of consent: For consent to be considered free within the meaning of Article 4.11 of the GDPR, the data subject must be able to consent.

67 EDPB, Guidelines 07/2020, section 191

68 G29, Guidelines on Consent under Regulation 2016/679, adopted on 28 November 2017, and available at the following link:

<https://ec.europa.eu/newsroom/article29/items/623051/en>.

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freely, that is to say without suffering pressure or negative consequences if she refuses the processing of her personal data. Consent must be given without the obligation to adhere to other conditions, and the data subject must be able to withdraw her consent without suffering any detriment⁶⁹. Furthermore, the holder of the eID card may refuse that her data be read and/or recorded in the context of a loyalty program⁷⁰, which means that she must be able to benefit from the possibility of subscribing to a loyalty program outside of any eID card reading. In the situations presented, several elements show that consent is not free:

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At Store C, the services offered require acceptance of the general terms of Freedelity as consent within the meaning of Article 6.1.a of the GDPR. The fact that the data subject must accept the general terms of Freedelity to benefit from the commercial advantages offered by Store C demonstrates a lack of freedom afforded to the data subjects. Such consent, which merges both (i) the acceptance of the general terms of Freedelity and (ii) the obtaining of consent (Article 6.1.a of the GDPR) necessary for the processing of collection and sharing of personal data, is detrimental to the data subject and is inherently not free⁷¹.

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It is incorrect for the defendant to assert that when consent is requested separately for the processing of data by (i) a store and (ii) by Freedelity, this circumstance renders the consent free. Indeed, assuming that all other conditions of consent are met, it is up to the defendant to demonstrate that consent to the processing operations by Freedelity is completely optional, so that, by establishing separate consent mechanisms, the data subject does not need to consent to the sharing service offered by Freedelity and its partners in order to benefit from the commercial advantages offered by the store.

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Thus, in all cases where data subjects are compelled to consent to the processing of their personal data by Freedelity (notably the sharing), in order to obtain the desired commercial advantages, this consent is flawed because it is not free (see in particular the example of Store A). Indeed, consent can only be free if the person has the choice to accept or refuse.

69 EDPB, Guidelines 5/2020 on consent under Regulation (EU) 2016/679 (v1.1), adopted on May 4, 2020, (hereinafter, "Guidelines 5/2020"), section 13 and following, and available at the following link:

https://www.edpb.europa.eu/sites/default/files/files/file1/edpb_guidelines_202005_consent_fr.pdf

70 Article 6§4 of the Law of July 19, 1991, on population registers, identity cards, foreigner cards, and residence documents, available at the following link:

https://www.ejustice.just.fgov.be/img_/pdf/1991/07/19/1991000380_F.pdf

71 EDPB, Guidelines 5/2020, section 13 and following.

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the pooling of his personal data, considered as a service that would distinctly benefit from the commercial advantages offered by the brand in question.

B) Specific nature of consent: To be considered specific within the meaning of Article 4.11 of the GDPR, consent must relate to precise and distinct purposes. Each purpose must be clearly separated

from the others to avoid any use of the collected data that has not been previously and clearly communicated to the data subject⁷². In all the cases presented, the consent is not specific:

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On the Freedelity website, the consent request related to the creation of a profile includes the obligation to provide one's identity card number and to accept the privacy policy. Contrary to the defendant's claims, the presence of a link to the privacy policy containing more information about the processing does not render the consent specific. Indeed, the Contentious Chamber observes that the request is global, not distinguishing between (i) consent to create an account, and (ii) consent to the subsequent use of the data to feed the pooled Freedelity file using data collected by other partners. The lack of specification of each purpose prevents the data subject from understanding and distinctly consenting to the different uses of their personal data.

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At Brand A, the terminal does not allow for specific consent: by entering their identity card, the data subject globally accepts the use of their data for three distinct purposes (updating Freedelity's databases, marketing actions, and sending digital warranty proofs). However, each purpose should be presented as requiring a separate consent request to ensure the user's data control, which is not the case here. The Contentious Chamber disputes the defendant's claims that the guidelines on consent from the EDPB do not prohibit linking multiple purposes. The Contentious Chamber refers to the version of these guidelines adopted in 2017 by the G29⁷³.

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Brand B and Brand C offer different consent mechanisms through a terminal system (Brand B only) and their websites, but the structure of these options creates confusion. On the Brand B terminal, consent for Freedelity's processing operations groups several distinct purposes. On

⁷² EDPB, Guidelines 5/2020, section 55 and following

⁷³ See Guidelines 5/2020, section 58: "Without prejudice to the provisions regarding the compatibility of purposes, consent must be specific to the purpose." "If a data controller processes data based on consent and wishes to process the data for another purpose, they must seek additional consent for that other purpose unless another legal basis better reflects the situation," which reiterates a well-established position since the publication of the G29 guidelines on consent from 2017 also previously mentioned (see page 12).

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the websites of these brands, the consents are not specifically related to clear and distinct purposes. For example, it is not specified whether the data collected is solely for Brand B or if it will be pooled in the Freedelity file, accessible by other partners. A specific consent would have required separating the purposes related to Brand B from those common to Brand B and Freedelity, in order to obtain the explicit agreement of the data subject for their personal data to be shared and updated in the Freedelity file, using contributions from Freedelity partners.

250. C) Informed nature of consent: The GDPR requires that consent be informed, meaning that it allows data subjects to precisely understand what they are consenting to. Furthermore, the minimum requirements for informed consent are outlined in the guidelines on consent and include in particular (i) the identity of the data controller, (ii) the purpose of each processing operation for which consent is sought, (iii) the (types of) data collected and used, (iv) the existence of the right to withdraw consent (etc.). Regarding points (i) and (iii), the EDPB notes that if the consent sought is to serve as a basis for multiple (joint) data controllers or if the data is to be transferred to, or processed by, other controllers who wish to rely on the original consent, all these organizations should be named.

251. The 1991 law also requires providing "informed" consent in the case of electronic reading of the information on the identity card. In the situations described, the consent cannot be qualified as informed:

- On the websites of Freedelity, Brand B, and Brand C, the concept of pooling, which requires sharing data with Freedelity partners, is not explained at all to the data subject when obtaining their consent. This information is essential for data subjects to understand how their personal data will be processed, rendering the consent uninformed. The fact that the categories of recipients are included in Freedelity's

privacy policy is not sufficient to make the consent informed as the defendant claims, since this distinct obligation is governed by the transparency obligations of Articles 13 and 14 of the GDPR.

- At the terminals of Brand A and Brand B, while the concept of pooling is referenced more or less directly, the recipients of the data

74 EDPB, Guidelines 5/2020, section 62 and following

75 EDPB, Guidelines 5/2020, sections 64 and 65

76 Article 6§4 of the Law of July 19, 1991, relating to population registers, identity cards, foreigner cards, and residence documents, available at the following link: https://www.ejustice.just.fgov.be/img/l/pdf/1991/07/19/1991000380_F.pdf

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Personal data are not mentioned. However, each recipient of the data acting as a data controller (jointly) with Freedelity, and therefore as a potential recipient of the data collected by the other joint controllers of Freedelity, must be informed by announcing the identity of the recipients of this data. It was therefore necessary to name them individually; otherwise, consent could not be considered informed and thus valid. The guidelines on consent, both in their previous version⁷⁷ and in their current version⁷⁸, specifically mention this point. This omission, in violation of the GDPR, is aggravated by the circumstances of the processing, which require the electronic collection of particularly sensitive identity data and their subsequent automated exchange between data controllers in the event of updates to this data.

D) Unambiguous nature of consent: For consent to be considered unambiguous, it must result from a clear positive act of the data subject. This requirement excludes any ambiguity: the action by which the data subject consents must be clearly distinguishable from other possible actions, particularly mere continued navigation⁷⁹. The Contentious Chamber notes that consent cannot be qualified as unambiguous for the following reasons:

- In the case of Sign A, the defendant considers that the person who inserts their identity card into a reader and clicks on a green button to continue navigation gives unambiguous consent. Contrary to the defendant's assertion, merely navigating from page to page on a terminal by pressing a green button to continue does not equate to a clear expression of consent. For the Contentious Chamber, simply clicking the green button to navigate from page to page does not meet the requirements for valid consent, in accordance with Article 4.11) of the GDPR.⁸⁰

- Indeed, the successive navigation from one page to another may equally indicate an exploration of options or an acknowledgment of information, rather than an approval of a specific data processing. Moving from page to page, even with a return option (via a red button), remains ambiguous and can mean several things: exploration, seeking more information, or simple navigation, without it being possible to unambiguously deduce the intention to consent. Thus, for consent to be unambiguous, the terminal should include a mechanism

77 G29, Guidelines on Consent under Regulation 2016/679, adopted on 28 November 2017: "With regard to item (i) and (iii), WP29 notes that in a case where the consent sought is to be relied upon by multiple (joint) controllers or if the data is to be transferred to or processed by other controllers who wish to rely on the original consent, these organisations should all be named" (page 13).

78 EDPB, Guidelines 5/2020, section 65

79 EDPB, Guidelines 5/2020, section 75 and following.

80 See also, EDPB, Guidelines 5/2020.

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explicit request for consent, as a specific and dedicated button, formulated in such a way that the concerned person understands unequivocally that by clicking, they give their consent to the processing of their personal data.

252. The Contentious Chamber wishes to clarify that the examples mentioned above are limited to three specific cases detailed by Freedelity, in which consent, although invalid, was actually obtained. However, it notes that Freedelity does not provide evidence of the existence of any consent collection by the other partner brands of Freedelity⁸¹.

253. In conclusion, the Contentious Chamber argues that the mechanisms put in place by the brands to ensure compliance with Articles 5.1.a and 6.1.a of the GDPR do not allow for the consideration that valid consent has been obtained, in violation of Articles 5.2 and 7 of the GDPR.

II.5.3. Finding 2: Measures implemented to facilitate the right to withdraw consent at any time (Arts. 7.3, 5.2, 24 and 25 of the GDPR)

254. According to the defendant, concerned individuals who wish to withdraw their consent to the processing of their data by Freedelity can do so by going to the

"My Profile" tab on the MyFreedelity portal and deactivating the toggle

"Validation and updating of my data with Freedelity clients." Regarding Brand A, Freedelity indicates that the possibility for the concerned individual to return to the previous page by clicking on a red button associated with a cross constitutes the right to withdraw consent. It considers that at certain brands: "The fact that the concerned individual has the possibility of simply not confirming their account is an additional way provided by Freedelity to withdraw their consent to the processing of their data."

255. It also explains that the concerned individual can always send their withdrawal request via email or by postal mail, or make their request to the seller of the brand. In this sense, Freedelity believes that it allows concerned individuals to withdraw their consent at any time. Furthermore, notwithstanding these measures that it deems satisfactory, Freedelity admits to changing the screens of the kiosks to provide the possibility for the concerned individual to delete their accounts directly via the kiosk.

256. The Contentious Chamber recalls that Article 7.3 of the GDPR states that: "The concerned individual has the right to withdraw their consent at any time. The withdrawal of consent does not affect the lawfulness of the processing based on consent."

81 As of November 12, 2020, there are 5 clients using kiosks (page 8 of the responses provided by the defendant to the questions from the inspection service posed on October 29, 2020).

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carried out before this withdrawal. The person concerned is informed before giving their consent. It is as easy to withdraw as it is to give consent." Articles 24.1 and 5.2 of the GDPR impose accountability obligations on the data controller, requiring them to be able to demonstrate that the processing is carried out in accordance with the GDPR.

257. Article 25.1 of the GDPR requires the data controller to implement data protection measures from the design stage and by default, taking into account the nature, scope, and risks of the processing for the rights and freedoms of the data subjects. It requires the establishment of technical and organizational measures to ensure compliance with the GDPR.

258. In this case, Freedelity is criticized for not having established sufficiently simple and direct means to allow for the withdrawal of consent. Although options exist via the MyFreedelity portal and in-store kiosks, these means do not meet the simplicity requirement set forth in Article 7.3 of the GDPR, which states that withdrawing consent must be as easy as giving it. Indeed, the necessity for data subjects to navigate through various tabs or interfaces, as well as the absence of an explicit and immediate withdrawal option, may discourage consumers from proceeding with the withdrawal of their consent.

259. The principle of data protection by design and by default, as stated in Article 25 of the GDPR, requires the data controller to implement adequate technical and organizational measures to ensure the protection of personal data, particularly concerning the rights of data subjects. This principle of protection by default should have led Freedelity to foresee withdrawal mechanisms directly at the kiosks themselves, even before the processing was implemented. The need to revise the interfaces of the kiosks to facilitate the withdrawal of consent demonstrates a lack of foresight regarding the requirements for data protection by default, which should have guided the initial design of the system.

260. Freedelity has established a system where the right to withdraw, as currently proposed, does not fully meet the requirements of simplicity and accessibility established by the GDPR. According to the guidelines on consent, a consent mechanism cannot be deemed compliant with the GDPR if the conditions for the right to withdraw are not effectively respected. The fact that data subjects must go

through separate steps or interfaces to withdraw their consent, instead of having a withdrawal feature directly integrated into the kiosks, does not fulfill the withdrawal conditions set forth in Article 7.3 of the GDPR.

82 EDPB, Guidelines 5/2020, section 116

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261. In conclusion, the Disciplinary Chamber considers that Freedelity has not complied with the documentation and accountability requirements arising from Articles 24 and 5.2 of the GDPR regarding the withdrawal of consent, as the current mechanisms do not allow for a withdrawal of consent that is both simple and direct (Article 7.3 of the GDPR), in accordance with the principle of data protection by design (Article 25 of the GDPR).

II.5.4. Finding 3: Measures Implemented to Demonstrate that the Collected Consent is Compliant with the GDPR (Articles 5.2, 24, and 25 of the GDPR)

262. The defendant argues that its standard contract requires brands to collect high-quality consent, associated with a clause stipulating that the brand will indemnify Freedelity in the event of a failure related to obtaining consent or the quality of consent. It also indicates that its consent register includes important information, such as the date of consent or the consent log and the source of consent.

263. The Disciplinary Chamber recalls that Article 5.2 enshrines the principle of accountability and requires that the data controller be able to demonstrate compliance with the principles of the GDPR in its data processing activities. Article 24 complements this obligation by imposing on data controllers the implementation of appropriate technical and organizational measures that are suited to the nature, scope, context, and purposes of the processing as well as the risks to the rights of the data subjects, with an obligation for continuous review to ensure compliance. Finally, Article 25.1 establishes the obligation of data protection by design and by default, involving the implementation of concrete measures that must be applied from the outset of defining the means of processing. This finding is limited to examining the measures implemented to ensure the validity of the collected consent.

264. In this case, Freedelity, whose role as data controller is undisputed, must adhere to these accountability principles by demonstrating that the consents collected comply with the requirements of the GDPR. Indeed, when processing is based on consent, the data controller must be able to demonstrate that the data subject has given consent to the processing of personal data concerning them (Article 7.1 of the GDPR). Recital 42 states: "Where processing is based on the consent of the data subject, the data controller should be able to demonstrate that the data subject has consented to the processing operation."

265. Freedelity explains in its responses to the questions from the Inspection Service⁸³ that "The management of consent and its collection is tailored to each client. The aspect

⁸³ See page 12 of the responses provided by Freedelity to the questions posed by the Inspection Service on October 29, 2020.

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The management of this consent within the software is complex and is not documented as such." To the extent that this consent can be tailored to each client, at the very least at the level of the Freedelity terminals, the Contentious Chamber questions why Freedelity has not secured a quality consent for the collection and pooling of data at the level of the terminals themselves.

266. Furthermore, the Contentious Chamber observes that the agreements concluded by Freedelity with the brands do not allow Freedelity to demonstrate the collection of valid consent that is systematically compliant with the GDPR for each data subject. By limiting itself to requiring the implementation of "quality consent" on a case-by-case basis, Freedelity risks that some consent forms may be non-compliant.

267. Without prejudging the compliance measures that may have been considered to enable compliance, the Contentious Chamber notes that the following steps seemed entirely feasible in this case to ensure Freedelity's compliance with the requirements of the GDPR in light of the risks presented by the processing in question:

- Freedelity could have established a precise model for valid consent collection, related to the collection and pooling of identification and contact data, integrated directly at the level of the Freedelity

terminals.

- For the brands wishing to implement the consent mechanisms themselves (for example via their websites), Freedelity could have established a precise model for consent collection, described in its contracts with the brands.
- As needed, require the brands to provide proof that they have implemented valid consent once the implementation is completed and attach to this obligation an audit clause allowing Freedelity to verify the compliance of the consent mechanism in a timely manner.

268. The Contentious Chamber emphasizes that a data controller, even in a context of joint liability, cannot exempt itself from this obligation to demonstrate the collection of valid consent.

269. The mere obligation to indemnify Freedelity in the event of the collection of invalid consent is not sufficient on its own to demonstrate the adequacy of the measures implemented.

84 See in this sense the IAB decision of the Contentious Chamber of February 2, 2022, No. 21/2022, available at the following link:

<https://www.autoriteprotectiondonnees.be/publications/decision-quant-au-fond-n-21-2022-en.pdf>

And the deliberation of the restricted formation of the CNIL, the French data protection authority, No. SAN-2023-009 of June 15, 2023 concerning the company CRITEO, available at the following link:

<https://www.legifrance.gouv.fr/cnil/id/CNILTEXT000047707063>. This decision is currently the subject of an appeal before the French Council of State.

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to ensure the collection of valid consent. Indeed, appropriate technical and organizational measures should have complemented such contractual measures. Furthermore, the presence of a register merely containing information regarding the existence of a consent mechanism is also insufficient, as it only allows for the verification that consent has been obtained. Neither the quality of the consent nor its specificity to Freedelity can be inferred from such a register.

270. In these circumstances, the Contentious Chamber finds that Freedelity has not implemented the necessary measures to demonstrate that the consent collected for the collection and pooling of data complies with the GDPR in accordance with Articles 5.2, 24, and 25 of the GDPR.

II.5.5. Finding 4: Principle of data minimization (Art. 5.1.c of the GDPR), and principle of data protection by default (Art. 25.1 of the GDPR)

271. The defendant argues that in light of the significant amount of personal data processed by Freedelity, a balancing act between the principle of minimization (Art. 5.1.c of the GDPR) and the principle of accuracy (Art. 5.1.d of the GDPR) must be carried out. It recalls that to carry out its missions, it must quickly limit the risk of confusion between individuals, avoid duplicates, and identify potential fraud, hence the large volume of information collected. Finally, it argues that recording changes of postal or electronic address is necessary to allow consumers to receive promotional offers, advertisements, or any other information, and to ensure that new tenants or buyers do not receive unwanted advertising.

272. The Contentious Chamber recalls that the principle of data minimization, as stated in Article 5.1.c of the GDPR, requires that the personal data collected be adequate, relevant, and limited to what is strictly necessary in relation to the purposes for which they are processed. In other words, only the data essential for achieving the objectives of the processing should be collected, thus avoiding any excessive collection of information that would not be directly useful or justified by the intended purposes. As stated previously, Article 25.1 of the GDPR establishes the obligation of data protection by design and by default, implying the implementation of concrete measures that must be applied from the definition of the means of processing.

273. The Inspection Service indicated that regarding the processing carried out for the purpose of registration in the "Freedelity file" as well as for the pooling of data with Freedelity's clients and partners, the following personal data would be processed:

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- The identification data, namely: "name, first name(s), gender, place and date of birth, nationality, home address, ID card number⁸⁵, issuing municipality of the ID card, validity date of the ID card, and histories of these data"; and

- The contact data: "your email address, phone number/mobile number, and histories of these data."
274. Furthermore, the 2011 recommendation from the CPVP states: "Certain commercial practices also lead the Commission to consider the use of the ID card as a loyalty card. (...) This choice must be offered to customers in a transparent and explicit manner as soon as a loyalty system is proposed to them. Moreover, the principle of proportionality of privacy law requires that only the necessary data from the ID card may be read in this context. It cannot, under any circumstances, be a matter of processing and retaining for this purpose either the photo of the cardholder, or the number of their ID card, or their identification number in the National Register, or their nationality, or their place of birth" (emphasis added). The underlined data is nonetheless collected by Freedelity.⁸⁶ Therefore, contrary to what the defendant claims, the CPVP has not only never approved this practice but has also limited in its opinion the modalities of lawful processing of ID card data.

275. A fortiori, data such as the issuing municipality of the ID card, the validity date of the ID card, and the history of these data have no relevance in the context of the processing carried out by Freedelity and the brands. These data are generally not included in the manual collection form implemented by certain brands, which demonstrates that they are not useful, and therefore a fortiori not necessary for the implementation of the processing.

276. As rightly pointed out by the Inspection Service, only a few data would have been necessary for Freedelity to fully comply with the principles of minimization and accuracy of the GDPR in the context of feeding the Freedelity file. The Contentious Chamber believes that the name, first name, and contact details (postal address, email, or phone) are sufficient to provide a sufficiently precise indication of the data subject in view of the purpose at stake, which does not require irrefutable identification of the data subject's identity. These data could have been the only ones collected from the beginning of the processing, without affecting the operation of the Freedelity file.

85 The ID card number is a distinct identifier from the national registration number (NIR), which Freedelity claims not to collect.

86 CPVP, Recommendation No. 03/2011 of May 25, 2011, regarding the copying of ID cards, as well as their use and electronic reading, the link to which is accessible here:

<https://www.dataprotectionauthority.be/publications/recommandation-n-03-2011.pdf>.

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277. The risk of having outdated data in the Freedelity file does not justify the collection of an additional ten optional pieces of information. Furthermore, the more personal data collected, the more difficult it becomes to comply with both the principle of accuracy and the principle of minimization. The defendant's arguments on this point cannot therefore be persuasive. The Litigation Chamber is particularly concerned about the impact on the individuals involved in the event of a data breach, due to the quantity and precision of the data. Indeed, the massive centralization of data from a large portion of the population and their data collected directly on their identity card poses a high risk to the privacy of millions of consumers.

278. For these reasons, the Litigation Chamber finds that Freedelity has violated the principle of personal data minimization (art. 5.1.c of the GDPR), and the principle of data protection by default (art. 25.1 of the GDPR).

II.5.6. Finding 5: Principle of limitation of the retention of personal data (art. 5.1.e, 5.2, 24 and 25.1 of the GDPR)

279. The defendant claims that retaining data for a period of 8 years in the context of managing the Freedelity file is appropriate. According to the defendant, the starting point for this retention period is calculated from the last "activity" of the individual concerned (e.g., checkout).

280. It argues that the 8-year data retention period is justified firstly by the specific purpose of the Freedelity file, which requires regular updates and immediate accessibility of the data. Secondly, it emphasizes the legitimate economic interest of retaining the data for a sufficient duration to allow for optimal use of its service. This retention period is also justified by accounting and tax considerations, both for the clients and for the company itself. It highlights that the legal warranty for consumer goods of 2 years, which can be extended by merchants, necessitates a data retention period longer than the strict 2 years proposed by the Inspection Service.

281. The Litigation Chamber recalls that under Article 5.1.e of the GDPR, data must be retained in a manner that ensures they are not kept in a form allowing the identification of individuals for longer than necessary for the purposes for which they are processed. The data controller is responsible for complying with this principle and must be able to demonstrate that it is being adhered to.

87 Article 1649quater of the Civil Code
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respected (arts. 5.2 and 24 of the GDPR). The Contentious Chamber refers to its previous findings regarding art. 25 of the GDPR (see paragraph 263).

282. The Contentious Chamber finds that the arguments of the defendant are insufficient to justify such a long retention period. Indeed, while the regular updating of the file and the immediate accessibility of the data are necessary to ensure quality customer service, it should be emphasized that these objectives can be achieved with a retention period significantly shorter than 8 years.

283. Regarding the retention periods invoked by the defendant, the Chamber notes that these primarily apply to purposes distinct from the management of the Freedelity file, for which Freedelity does not act as data controller. Indeed, the legal provisions concerning guarantees mainly relate to the relationships between the consumer and the seller. Thus, the legal obligations imposed on Freedelity regarding data retention cannot be based solely on these provisions.

284. Furthermore, the Freedelity file is not the appropriate medium for retaining data based on such provisions specific to customers. Indeed, the CustoCentrix database is the one that hosts, in the form of Silos88, the data strictly specific to each brand and for which processing is subcontracted to Freedelity by each of the brands. To this extent, and based on the responses provided by Freedelity to the Inspection Service89, the specific Silo for each customer could serve as an intermediate

archiving90 of data whose retention in the active database, on the Freedelity file, is no longer justified. 285. In this case, the Chamber believes that a retention period of a maximum of 3 years from the last activity would be sufficient to meet the needs of the defendant while respecting the rights of the data subjects. This duration aligns with the current practices recommended by the National Commission on Informatics and Liberty91. The Chamber indeed considers that a consumer who has shown no activity for a period of two to three years within the partner brands of Freedelity can be presumed to no longer wish to benefit from the services associated with this file.

88 As explained by Freedelity in its 2020 White Paper (page 5): “the database specific to each client within CustoCentrix containing consumer data that cannot be pooled with other clients and for which Freedelity acts as a subcontractor within the meaning of data protection regulations.”

89 See page 22 of the responses provided by Freedelity to the additional questions from the Inspection Service posed on October 29, 2021.

90 The concepts of “intermediate archiving” and “active database” are used by the CNIL in its references on data retention. See, for example, this CNIL article on determining retention periods: <https://www.cnil.fr/fr/passer-l'action/les-durees-de-conservation-des-donnees>

91 CNIL reference on the processing of personal data – management of commercial activities. https://www.cnil.fr/sites/cnil/files/atoms/files/referentiel_traitements-donnees-caractere-personnel_gestion-activites-commerciales.pdf (page 5)

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It is indeed reasonable to consider that such a consumer has lost all interest in this type of loyalty program.

286. In this perspective, it is permissible for the defendant to establish a mechanism for regularly verifying the activity of the data subjects to ensure that their data—and their account—should not be deleted. For example, an email could be sent to consumers who have not shown any activity for 3 years, asking them to confirm their wish to maintain their registration in the Freedelity file. In the absence of a response from them within a reasonable time, the defendant could consider that these individuals have waived their right to benefit from this service and proceed with the deletion of their data or its archiving, if applicable.

287. In light of all these elements, the Chamber considers that the retention period of 8 years set by

the defendant is disproportionate in relation to the purpose pursued. The principle of data minimization, enshrined in Article 5.1.e of the GDPR, requires the data controller to limit the retention of data to a strictly necessary duration.

288. In conclusion, the Contentious Chamber finds a violation of the principle of limitation of the retention of personal data (art. 5.1.e, 5.2, 24 and 25.1 of the GDPR) due to the excessive retention period of 8 years for the management of the Freedelity file.

III. Corrective measures and sanctions

289. Pursuant to Article 100§1 of the LCA, the Contentious Chamber has the power to:

- 1° dismiss the complaint;
 - 2° order a dismissal;
 - 3° pronounce a suspension of the ruling;
 - 4° propose a settlement;
 - 5° issue warnings or reprimands;
 - 6° order compliance with the requests of the data subject to exercise these rights;
 - 7° order that the interested party be informed of the security issue;
 - 8° order the freezing, limitation, or temporary or permanent prohibition of processing;
 - 9° order compliance of the processing;
 - 10° order the rectification, restriction, or deletion of data and notification of such to the recipients of the data;
 - 11° order the withdrawal of the accreditation of certification bodies;
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- 12° impose fines;
 - 13° impose administrative penalties;
 - 14° order the suspension of cross-border data flows to another State or an international organization;
 - 15° refer the case to the public prosecutor of the King of Brussels, who will inform him of the follow-up given to the case;
 - 16° decide on a case-by-case basis to publish its decisions on the website of the Data Protection Authority.

III.1. Choice of the appropriate corrective measure or sanction

290. In light of the above and based on the powers conferred upon it by the legislator, the Contentious Chamber decides to order compliance measures for the processing, in accordance with Article 100, §1, 9° of the LCA, as well as the deletion of certain data, in accordance with Article 100, §1, 10° of the LCA. To ensure the effective execution of these measures, the Contentious Chamber deems it necessary to attach fines, considering that this approach constitutes the most appropriate response to the circumstances of the case.

291. The Contentious Chamber believes that a combination of such measures is appropriate to achieve the effective, proportionate, and deterrent nature of the sanction. Indeed, it is imperative that Freedelity executes this decision by bringing its processing into compliance and deleting certain data. In this case, the fine provided is capable of exerting sufficient pressure on Freedelity to achieve this end.

292. The Contentious Chamber could decide to impose an administrative fine under its powers based on Article 83 of the GDPR and Article 100, §1, 13° of the LCA, regarding the violations identified of Articles 4, 5, 6, 7, 24, and 25 of the GDPR.

293. Nevertheless, the Contentious Chamber considers that compliance orders accompanied by fines do not require the imposition of a fine since the injunctions issued compel the company to significantly transform its business model to comply with the requirements of the GDPR. This complex and demanding process will require significant financial resources from the defendant.

294. The fine, through its incentive mechanism, ensures that the corrective measures will be effectively implemented without unduly jeopardizing the financial stability of the company. This approach, combined with the other sanctions adopted, ensures a response that respects the principles of effectiveness, proportionality, and deterrence of the GDPR.

295. Therefore, pursuant to Article 100§ 1 of the LCA, the Contentious Chamber decides to:

- a) in accordance with Article 100§ 1, 9° of the LCA, order compliance of the processing within a period of 4 months, in accordance with injunctions 1 to 5;
- b) in accordance with Article 100§ 1, 10° of the LCA, order the deletion of data in accordance with injunctions 4 and 5 within a period of 4 months;
- c) in accordance with Article 100§ 1, 12° of the LCA, impose fines of 5,000 EUR per day of delay from the day the Contentious Chamber notifies that it has partially or not at all complied with the injunctions issued in this decision, based on the responses provided by the defendant to the Contentious Chamber, which must have been received by the expiration of the compliance deadline;
- d) in accordance with Article 100§ 1, 16° of the LCA, decide to publish the decision on the website of the Data Protection Authority, with direct identification of the defendant.

III.2. Order for compliance and deletion of data

296. The Contentious Chamber considers it appropriate to impose several compliance and data deletion injunctions on the defendant, based on the identified breaches.

297. Injunction 1: Pursuant to Article 100§ 1, 9° of the LCA, the Contentious Chamber orders Freedelity to implement consent collection mechanisms ensuring that consent is free, specific, informed, and unambiguous, in accordance with Article 4.11 of the GDPR, for each processing of personal data it carries out, including the pooling of data with its business partners.

298. Freedelity must notably:

- Ensure that access to commercial benefits offered by a brand is not conditioned on the acceptance of other non-essential processing or conditions, including the pooling of data.
- Clearly and understandably inform the data subjects, at the time of data collection, about the specific purposes of each processing, the categories of data concerned, and allow consumers to know the identity of the recipients with whom the data will be shared.

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Implement explicit mechanisms to obtain unambiguous consent, such as a default unchecked button allowing data subjects to expressly confirm their agreement for each intended processing purpose.

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Verify the existence of free, informed, unambiguous, and specific consent for all data subjects whose data is processed in the Freedelity file, in light of the above requirements, and in the event of a negative finding, either delete the data currently present in the Freedelity file without valid consent or renew the consent of the data subjects before the end of the deadline for compliance with this Injunction 1.

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Submit to the Contentious Chamber evidence of compliance with this Injunction 1, including a copy of the consent form template specific to Freedelity (or the consent forms) modified or implemented in accordance with the Injunction 1 issued by the Contentious Chamber.

299. Injunction 2: Under Article 100§ 1, 9° of the LCA, the Contentious Chamber orders Freedelity to establish simple, accessible, and direct mechanisms to allow data subjects to withdraw their consent, in accordance with Article 7.3 of the GDPR.

300. Freedelity must in particular:

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Integrate on all physical terminals used by its partners an explicit and immediate option for withdrawing consent, without the need to navigate through complex menus or interfaces.

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Update the MyFreedelity portal to include a prominently visible and directly accessible feature allowing data subjects to withdraw their consent in as many steps as it takes for them to give their consent.

-

Inform data subjects, at the time of consent collection, of the means available to withdraw this consent, ensuring that this information is clear, understandable, and easily accessible.

-

Adopt and document technical and organizational measures compliant with the principle of data

protection by design and by default (Article 25 of the GDPR), ensuring that withdrawal mechanisms are integrated from the design stage of any new interface or terminal.

- Submit to the Contentious Chamber evidence of compliance with this Injunction 2, including screenshots of the new consent withdrawal mechanisms as implemented or modified by Freedelity and the brands.

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301. Injunction 3: Under Article 100§ 1, 9° of the LCA, the Contentious Chamber orders Freedelity to precisely document the consent collection process, in order to demonstrate, at any time, that it has been obtained in accordance with the requirements of the GDPR, particularly to ensure compliance with Articles 5.2, 24, and 25 of the GDPR. Freedelity must submit to the Contentious Chamber evidence of compliance with this Injunction 3.

302. Injunction 4: Under Article 100§ 1, 9° of the LCA, the Contentious Chamber orders Freedelity to immediately cease the collection and processing of personal data from consumers' identity cards, except for data strictly necessary for the stated purpose, namely, to take the example of a classic loyalty program: the name, first name, and contact details (postal address, email, or phone). Under Article 100§ 1, 10° of the LCA, the Contentious Chamber also imposes the deletion of any data that has been collected beyond this information within a period of four months.

303. Freedelity must in particular:

- Update, or order the update of all collection interfaces and tools used by Freedelity and its partners (in-store terminals, digital portals, manual forms, etc.) to ensure that only authorized data is collected.

- Prohibit, with respect to third parties, any resale or transfer of unnecessary data collected prior to the definitive deletion of this data, unless valid consent from the data subjects is obtained. This prohibition includes previously collected data that does not comply with the principle of minimization.

- Notify data subjects of the deletion of unnecessary data already collected, reminding them of their rights regarding data that continues to be processed by Freedelity, including the right to access, rectify, delete their data, as well as their right to withdraw their consent.

- Freedelity must submit to the Contentious Chamber evidence of compliance with this Injunction 4, including a copy of the notification template to data subjects and proof of the effective deletion of unnecessary personal data identified in Finding 4 of this decision.

304. Injunction 5: Under Article 100§ 1, 9° of the LCA, the Contentious Chamber orders Freedelity to reduce the retention period of personal data processed within the Freedelity file to a maximum of three years from the last activity of the data subjects. Under Article 100§ 1, 10° of the LCA, the Contentious Chamber imposes on Freedelity the deletion of data that has been retained for a period exceeding...

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for three years, unless a distinct legal basis justifies their retention in intermediate archiving such as Customer Silos (for example, specific legal obligations related to brands).

305. Freedelity shall in particular:

- Delete all personal data retained beyond this three-year period for individuals who have not shown any activity, unless a distinct legal basis justifies their retention (for example, specific legal obligations or ongoing litigation). Apply this deletion to all data currently contained in the Freedelity file and purge the Freedelity file of obsolete data.

- Ensure that when a distinct legal basis justifies the retention of data for more than 3 years, the data is archived on a medium separate from the Freedelity file⁹² and that it is processed for no other purpose than that of storage justified by the relevant legal basis.

Send a reminder by email or any other appropriate means to consumers who have not shown any activity for three years or more, asking them to confirm their wish to maintain their registration. In the absence of a response within a reasonable time (for example, one month), proceed with the archiving of the data under the conditions listed above, or delete it as applicable.

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Freedelity shall provide the Contentious Chamber with evidence of compliance with this Injunction 5, including documents demonstrating the effective deletion of personal data beyond the authorized durations, in accordance with Finding 5 of this decision.

III.3. Conditional sanction: the penalty

III.3.1. Preliminary considerations

306. The penalty is unique in that it is fully conditional. The amount to be paid is indeed uncertain. The defendant first has a period to comply or to appeal the decision. It is only in the event of non-compliance on their part after a period of 4 months from the notification of this decision that the penalty will be implemented. Therefore, the amount of the penalty is variable, and it may even be zero, if applicable.

92 See on this point the recommendations of the CNIL (French data protection authority) regarding the intermediate archiving of data:

<https://www.cnil.fr/fr/passer-laction/les-durees-de-conservation-des-donnees>

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307. The penalty thus differs from the administrative fine in that it constitutes an indirect means of enforcing the main sanction(s) in order to comply with the law in force, whereas the administrative fine has a punitive character.

308. The penalty also has an accessory nature. The penalty and the administrative fine thus differ both in their nature and in the objectives they pursue.

309. In light of the reasons mentioned above, the Contentious Chamber decides to impose penalties on the defendant in this case and does not consider that it needs to inform the defendant in advance using a sanction form⁹³.

III.3.2. Practical modalities of the penalty

310. In order to give the defendant the necessary time to comply with the injunctions pronounced in this decision, the penalty will not be implemented directly following the notification of this decision to the defendant. In this case, the Contentious Chamber considers that a period of 4 months from the notification of this decision is sufficient to allow the defendant to comply with said injunctions.

311. The period runs from the day the defendant receives the registered letter notifying them of this decision or from the day the period expires during which the defendant is, if applicable, required to collect said registered letter at the post office.

312. From the expiration of the 4-month period from the notification of this decision, and provided that they have received the requested evidence within the deadlines set out in the various injunctions, the Contentious Chamber notifies the defendant, after reviewing the documents:

- 1) That the defendant has fully complied with the injunctions pronounced in this decision; or
- 2) That the defendant has partially complied with the injunctions pronounced in this decision; or
- 3) That the defendant has not complied with the injunctions pronounced in this decision.

313. The Contentious Chamber initiates the execution of the penalty on the same day as the notification in the second and third hypotheses. In case of doubt, the APD may exercise its powers derived from the LCA or the ROI to continue the procedure or open a new file, if applicable.

93 Decision on the merits of the Contentious Chamber, no. 131/2024 of October 11, 2024, paragraphs 113 to 116.

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314. The amount of the penalties is defined as follows:

a) Injunction 1: the defendant must pay 1,000 EUR per day of delay from the day on which the Contentious Chamber notifies her that she has partially or not at all complied with the injunctions issued in this decision;

b) Injunction 2: the defendant must pay 1,000 EUR per day of delay from the day on which the Contentious Chamber notifies her that she has partially or not at all complied with the injunctions issued in this decision.

c) Injunction 3: the defendant must pay 1,000 EUR per day of delay from the day on which the Contentious Chamber notifies her that she has partially or not at all complied with the injunctions issued in this decision.

d) Injunction 4: the defendant must pay 1,000 EUR per day of delay from the day on which the Contentious Chamber notifies her that she has partially or not at all complied with the injunctions issued in this decision.

e) Injunction 5: the defendant must pay 1,000 EUR per day of delay from the day on which the Contentious Chamber notifies her that she has partially or not at all complied with the injunctions issued in this decision.

315. If the defendant fails to comply with the six injunctions, she must then pay 5,000 EUR per day of delay from the day on which the Contentious Chamber notifies her that she has partially or not at all complied with the injunctions issued in this decision.

316. The Contentious Chamber reminds that the penalty is not punitive in nature. The injunctions are each accompanied by a penalty to ensure their proper execution. The amount of the penalties is reasonable in light of the harm caused by the defendant to the rights of the complainant, and to users more generally, but also in light of the financial capacity of the defendant, whose turnover is below [amount], and the benefit she may derive from non-compliance with the injunctions in question.

317. If the defendant believes that full compliance with the injunctions proves impossible within the prescribed time despite all reasonable efforts, she may submit a reasoned request for an extension of time to the Contentious Chamber within 45 days following the notification of this decision to her.

318. The penalty is daily. The Contentious Chamber decides that the maximum cumulative amount of the penalty shall not exceed 100,000 EUR.

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In accordance with Article 108, § 1 of the LCA, an appeal against this decision may be filed, within thirty days from its notification, with the Market Court (Court of Appeal of Brussels), with the Data Protection Authority as the defendant.

Such an appeal may be filed by means of an interlocutory request which must contain the information listed in Article 1034ter of the Judicial Code. The interlocutory request must be submitted to the registry of the Market Court in accordance with Article 1034quinquies of the Judicial Code, or via the e-Deposit information system of the Ministry of Justice (Article 32ter of the Judicial Code).

(signed) Hielke HIJMANS

President of the Contentious Chamber

94 The request contains, under penalty of nullity:

1° the indication of day, month, and year;

2° the name, first name, and address of the applicant, as well as, where applicable, their capacity and national register number or business number;

3° the name, first name, address, and, where applicable, the capacity of the person to be summoned;

4° the subject and a brief summary of the grounds for the request;

5° the indication of the judge who is seized of the request;

the signature of the applicant or their lawyer.

95 The request, accompanied by its annex, is sent, in as many copies as there are parties involved, by registered letter to the clerk of the jurisdiction or filed at the registry.